MICHIGAN BUSINESS & ENTREPRENEURIAL LAW REVIEW

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Cite as: 15 MICH. BUS. & ENTREPRENEURIAL L. REV.___(2025)

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The Michigan Business & Entrepreneurial Law Review is published biannually by students at the University of Michigan Law School.

Michigan Business & Entrepreneurial Law Review
The University of Michigan Law Library
801 Monroe Street
Ann Arbor, MI 48109-1210
http://mbelr.org

Publication Policy

We strongly encourage the submission of unsolicited manuscripts for publication. Submissions should be sent to mbelrsubmissions@umich.edu. Articles should generally conform to The Bluebook: A Uniform System of Citation (21st ed. 2020) and The Chicago Manual of Style (16th ed. 2010).

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ISSN 2375-7523

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THE NON-BINDING BIND: REFRAMING PRECATORY STOCKHOLDER PROPOSALS UNDER DELAWARE LAW

Kyle A. Pinder[*]

ABSTRACT

Rule 14a-8 under the Securities Exchange Act of 1934 allows stockholders to submit proposals for inclusion in a company's proxy materials. The rule assumes that Delaware law provides stockholders with the right to submit non-binding proposals for stockholder approval. But as many have observed, this assumption lacks a firm basis in state law, particularly in Delaware. If such a right exists, a stockholder conducting its own proxy solicitation could submit numerous precatory proposals, including those advancing narrow or special interests. This article concludes that, under Delaware law, stockholders do not have an inherent right to submit precatory proposals. Accordingly, a corporation may adopt bylaws to provide for, and regulate, the submission of such proposals. Although others have advocated for regulating precatory proposals through private ordering, they have generally done so on the assumption that stockholders possess a baseline right to submit them. That assumption creates uncertainty: if such a right exists, it is unclear how far a bylaw may go in restricting or conditioning its exercise.

This article examines the potential sources of an inherent precatory proposal right—specifically, the Delaware General Corporation Law and case law on fundamental and subsidiary stockholder rights—and concludes that Delaware law does not provide such a right. That conclusion supports broad flexibility to adopt bylaws governing precatory proposals. Such a bylaw would be meaningful to Delaware corporations, regardless of whether it applies only to stockholders soliciting their own proxies or also to Rule 14a-8 proponents, to the extent the Securities and Exchange Commission permits augmenting Rule 14a-8 by bylaw.

* Partner, Morris, Nichols, Arsht & Tunnell LLP (Wilmington, DE). The views expressed here are solely my own and do not necessarily reflect those of my firm, its clients, or anyone who knew better than to write this. All errors are mine—and mine alone—despite the valiant efforts (and well-placed warnings) of those who reviewed earlier drafts, including Jennifer O'Hare and my colleagues at Morris Nichols who endured my seemingly endless ramblings with admirable patience.

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INTRODUCTION

Must a company allow a stockholder (regardless of the size of its holdings) to submit non-binding proposals for stockholder action at a meeting, irrespective of their number or subject matter? The answer depends on whether, under Delaware law, stockholders have an inherent right to submit precatory proposals.

Part I of this article provides a brief background of Rule 14a-8, the SEC's long-held view that precatory proposals are generally proper subjects for stockholder action, and the debate over whether this view is supported by state law.

Part II examines Delaware statutory and case law, as well as public policy considerations, and concludes that none of these "sources" establish, or support the existence of, an inherent stockholder right to submit precatory proposals under Delaware law, and accordingly, that no such right exists. First, the Delaware General Corporation Law (DGCL) does not contemplate (and thus does not expressly authorize) precatory stockholder proposals. Second, under Delaware law, stock ownership confers on stockholders three fundamental rights—to vote, sell and sue—from which flow certain "subsidiary rights."[1] Precatory stockholder proposals are inherently tied to voting rights (i.e., do stockholders have a right to vote on such proposals). Based on a review of Delaware's voting rights jurisprudence, this article concludes that stockholder voting rights extend to (i) the election of directors,[2] (ii) matters committed to stockholders for approval by law, certificate of incorporation, or bylaw,[3] and (iii) matters that the board determines to submit for a stockholder vote.[4] Absent from this list of voting rights are non-binding proposals on which a stockholder forces a vote. Because no such voting right exists, a "subsidiary right" flowing

1. Williams Cos. S'holder Litig., No. 2020-0707, 2021 WL 754593, at *20 (Del. Ch. Feb. 26, 2021).

2. *In re* MONY Grp. Inc. S'holder Litig., 853 A.2d 661, 673 (Del. Ch. 2004).

3. *See* Reis v. Hazelett Strip-Casting Corp., 28 A.3d 442, 457 (Del. Ch. 2011); Mercier v. Inter-Tel (Del.), Inc., 929 A.2d 786, 808 (Del. Ch. 2007).

4. *MONY*, 853 A.2d at 673.

therefrom to propose precatory stockholder proposals does not exist. In addition, given that stockholders have multiple (and, in some respects, more effective) means of communicating with fellow stockholders and management and for promoting management accountability, the principal public policy justifications in favor of recognizing a precatory proposal right do not impact this lack of statutory or common law authorization. As it relates to Delaware, any ability of stockholders to submit precatory proposals is by virtue of federal law: specifically, Rule 14a-8.

Part III discusses a corporation's ability to provide for, and regulate, the submission of precatory stockholder proposals by bylaw provision and concludes that corporations have broad flexibility in drafting valid provisions. Facially valid bylaws are consistent with the DGCL and certificate of incorporation and are not otherwise prohibited by law.[5] Because stockholders do not have the inherent right to submit such proposals, and assuming the absence of a charter provision expressly granting that right, a bylaw provision providing for, and regulating, precatory stockholder proposals would be facially valid (i.e., it would not be inconsistent with a non-existent DGCL or other legal pronouncement). A reasonably tailored precatory proposal bylaw would allow a corporation to provide stockholders with, what some view as, a meaningful ability. Such a bylaw would also give the corporation flexibility to impose structure and safeguards with respect to precatory proposals for which a stockholder intends to solicit proxies. There is some uncertainty regarding whether a corporation can augment the requirements of Rule 14a-8 by bylaw, although SEC Chairman (then-Commissioner) Paul Atkins and SEC Commissioner Mark Uyeda have each expressed support for private ordering.[6] Therefore, these types of bylaws may also have the potential to apply to Rule 14a-8 proposals.

Part IV explains that, although a DGCL amendment may not be necessary to validate precatory proposal bylaws, such an amendment would nonetheless offer significant benefits—including reducing uncertainty, mitigating litigation risk, and providing an opportunity to legislate reasonable parameters around the terms of such provisions.

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5. Kellner v. AIM ImmunoTech Inc., 320 A.3d 239, 258 (Del. 2024).

6. Paul S. Atkins, Comm'r, U.S. SEC, Shareholder Rights, the 2008 Proxy Season, and the Impact of Shareholder Activism, Speech Before the U.S. Chamber of Com. (July 22, 2008). https://www.sec.gov/news/speech/2008/spch072208psa.htm [https://perma.cc/84QD-FGLP] ("[M]ost state corporation laws provide that a corporation's charter or bylaws can specify the types of binding or non-binding proposals that are permitted to be brought before the shareholders for a vote at an annual or special meeting. . . . Thus, to the extent a company adopts a proper bylaw under state law that limits or prohibits the consideration of a non-binding proposal at a shareholder meeting, those types of proposals may be excluded from the company's proxy statement [under Rule 14a-8(i)(1)]."); Mark T. Uyeda, Comm'r, U.S. SEC, Remarks at the Society for Corporate Governance 2023 National Conference (June 21, 2023), https://www.sec.gov/newsroom/speeches-statements/uyeda-remarks-society-corporate-governance-conference-062123 [https://perma.cc/9CW3-JEMY] ("[Rule 14a-8] cannot 'facilitate' [state law] rights if it simply replaces them. To reflect the rule's philosophy and intent, a company should have the right to adopt, in its governing documents, requirements for shareholder proposals that differ from those set forth in rule 14a-8.").

I. BACKGROUND

Each year stockholders submit hundreds of proposals for inclusion in the proxy materials of various public companies pursuant to Rule 14a-8, most of which are precatory, requesting certain corporate action be taken.[7] Some of these proposals relate to corporate governance. For example, a stockholder might submit a proposal requesting that the board consider amending the company's governing documents in a way that the proponent believes will promote good corporate governance (e.g., to allow stockholders to call special meetings). However, many proposals relate to other matters, such as human rights issues and environmental impacts, as well as "anti-ESG" proposals.[8] Generally, a public company must include a proposal in its proxy materials, assuming the proponent satisfies the relatively minimal procedural and stock ownership requirements of Rule 14a-8. This is meaningful because it gives what could be a small stockholder the ability to have fellow stockholders consider and vote on a proposal without soliciting his or her own proxies.

Rule 14a-8 likely has as many supporters as it does detractors. Supporters tout it as corporate democracy in action (albeit imperfect), allowing a stockholder to communicate with fellow stockholders and management about matter of concern, and ultimately hold management accountable by forcing it to justify its actions or positions and face an advisory vote.[9] Supporters often point to the governance reforms that arguably began as Rule 14a-8 proposals as evidence of so-called "corporate democracy in action."[10] Detractors deride it as a drain on corporate resources—both in terms of time (or opportunity cost) and expense[11]—and an inefficient method of pushing change, given the generally low approval rate of stockholder proposals.[12]

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7. Lucian A. Bebchuk & Scott Hirst, *Private Ordering and the Proxy Access Debate*, 65 BUS. LAW. 329, 340 (2010) ("Although shareholders submit hundreds of proposals to publicly traded firms each year, the overwhelming majority of these proposals are precatory in nature; only a small fraction of shareholder proposals are proposals for binding bylaw amendments.").

8. *See, e.g.*, *Shareholder Proposal Developments During the 2025 Proxy Season*, GIBSON, DUNN & CRUTCHER LLP (Aug. 8, 2025), https://www.gibsondunn.com/wp-content/uploads/2025/08/DC-Shareholder-Proposal-Developments-Proxy-Season-080625.pdf [https://perma.cc/R4NE-8PBT].

9. *See, e.g.*, Leila N. Sadat-Keeling, *The 1983 Amendments to Shareholder Proposal Rule 14a-8: A Retreat from Corporate Democracy?*, 59 TUL. L. REV. 161 (1984).

10. *See* James D. Cox & Randall S. Thomas, *The SEC's Shareholder Proposal Rule: Creating a Corporate Public Square*, 2021 COLUM. BUS. L. REV. 1147, 1163 ("In the new millennium, some highly-successful[] shareholder proposal campaigns influenced the broad adoption of various corporate governance practices, such as requiring majority vote standards for uncontested director elections and criticizing companies' 'say on pay' policies.").

11. *See* Atkins, *supra* note 6 ("[Precatory] proposals often consume a significant amount of management time and attention."); Susan W. Liebeler, *A Proposal to Rescind the Shareholder Proposal Rule*, 18 GA. L. REV. 425, 454–56 (1984).

12. *See* Sadat-Keeling, *supra* note 9, at 195 ("Some commentators argue that it is costly, inefficient, and time-consuming for those attending meetings; that shareholder proposals generally fail; and finally, that shareholders are not interested in corporate participation or social accountability, but only in a return on their investment."); Lawrence A. Cunningham, Congressional Testimony: Shareholder Proposals, Index Fund Voting and the Need for Proxy Advisor Reform (Statement Before

Rule 14a-8 also sets forth specific substantive bases of exclusion, which allow a company to exclude a proposal after requesting the SEC to confirm that doing so will not result in an enforcement action. Rule 14a-8(i)(1) is one such basis for exclusion and permits a company to exclude a proposal that is not a "proper subject for shareholder action" under the laws of its state of incorporation. To avoid exclusion under Rule 14a-8(i)(1), proponents strategically style most Rule 14a-8 proposals as precatory proposals, rather than binding proposals, to take advantage of an interpretation adopted by the SEC. In "purporting to find and apply a generally nonexistent state law,"[13] the SEC established a distinction between binding and non-binding proposals: "Depending on the subject matter, some proposals are not considered proper under state law if they would be binding on the company if approved."[14] But, in the SEC's "experience, proposals that are cast as recommendations or requests that the board of directors take specified action are proper under state law."[15] Many scholars have observed that this distinction is primarily based on a 1954 case from the New York Court of Appeals,[16] which stated, without citation, that "there is nothing invalid in" stockholders "expressing themselves" by adopting a precatory proposal "and thus putting on notice directors who will stand for election at the annual meeting."[17] This conclusion, however, is far from universally accepted among scholars and practitioners, particularly with respect to Delaware law.[18]

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the U.S. House Committee on Financial Services, July 12, 2023) (criticizing misuse of Rule 14a-8 for social and political ends and noting declining levels of support for proposals).

13. 4 LOUIS LOSS, JOEL SELIGMAN & TROY PAREDES, SECURITIES REGULATION 513–14 (4th ed. 2009) ("Inevitably the Commission [normally its staff], while purporting to find and apply a generally nonexistent state law, has been building a *common law* of its own as to what constitutes a *proper subject* for shareholder action.").

14. 17 C.F.R. § 240.14a-8(i)(1) n.1 (2025).

15. *Id.*

16. *See, e.g.*, John C. Coffee, Jr., *The SEC and the Institutional Investor: A Half-Time Report*, 15 CARDOZO L. REV. 837, 883 (1994) ("This judgment that shareholders had a legal right to address precatory recommendations to the board was largely rested on a forty-year-old New York decision.").

17. Auer v. Dressel, 118 N.E.2d 590, 593 (N.Y. 1954).

18. For example, compare Leo E. Strine, Jr., *Breaking the Corporate Governance Logjam in Washington: Some Constructive Thoughts on a Responsible Path Forward*, 63 BUS. LAW. 1079, 1088–89 n.33 (2008) ("The annual meeting undoubtedly provides stockholders an annual chance to ask questions and make statements of reasonable length, but the term 'proper business' would seem to stop far short of giving a stockholder a right to demand a vote on a non-binding resolution when such resolutions are never mentioned in the statute or most corporate charters or bylaws."), with Alan R. Palmiter, *The Shareholder Proposal Rule: A Failed Experiment in Merit Regulation*, 45 ALA. L. REV. 879, 915 (1994) (citing *Auer v. Dressel* and noting that "[t]he few courts to face the issue have assumed wide shareholder latitude to make nonbinding, precatory recommendations on any subject related to maximizing shareholder value"). *See also* Christopher M. Bruner, *Managing Corporate Federalism: The Least-Bad Approach to the Shareholder Bylaw Debate*, 36 DEL. J. CORP. L. 1, 35 n.179 (2011) ("There is certainly state case law endorsing precatory proposals. . . . Their legality in Delaware, however, is less clear."); Peter V. Letsou, *Shareholder Voice and the Market for Corporate Control*, 70 WASH. U.L.Q. 755, 768 (1992) ("[T]he shareholders' power to propose precatory resolutions may not, in fact, exist under . . . state corporation law."); Atkins, *supra* note 6 ("The SEC

II. STATUS OF PRECATORY STOCKHOLDER PROPOSALS UNDER DELAWARE LAW

This Part first discusses the potential sources of a precatory proposal right and concludes that no such right exists as a matter of Delaware law. It then examines what constitutes "proper business" under Delaware law and offers a framework to categorize such matters. Finally, it addresses certain policy considerations commonly proffered in support of precatory proposals generally.

A. *Examining the (Non-)Existence of Precatory Proposal Rights*

The DGCL. The DGCL does not contemplate precatory proposals. Rather, Section 211(b) of the DGCL requires corporations to hold an annual meeting for the election of directors and provides that "[a]ny other proper business may be transacted at [such] annual meeting."[19] The Delaware courts have observed the importance of the annual meeting:

> [T]he purposes served by the annual meeting include affording to shareholders an opportunity to bring matters before the shareholder body, as provided by the corporation[']s charter and bylaws, such as bylaw changes. . . . [I]t is nevertheless a not unimportant feature of corporate governance that at a noticed annual meeting a form of discourse (i.e., oral reports, questions and answers and in rare instances proxy contests) among investors and between shareholders and managers is possible. . . . Shareholders' meetings are mandated and shareholders authorized by statute to transact proper business because we assume that at such meetings something said may matter.[20]

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recognizes that the use of non-binding, advisory shareholder proposals is essentially a federal creation. As Vice Chancellor Leo Strine . . . stated at our proxy roundtable last year, Delaware corporate law does not recognize advisory proposals."); Julian Velasco, *Taking Shareholder Rights Seriously*, 41 U.C. DAVIS L. REV. 605, 682 n.300 (2007) (internal citations omitted) ("Although there is nothing illicit in shareholders expressing their opinions in a nonbinding way, they have no specific right to do so and no official role in general decision making. Even when adopting Rule 14a-8, the SEC did not claim otherwise. Thus, such proposals arguably should not be considered 'a proper subject for action by shareholders under the laws of the jurisdiction of the company's organization.'").

19. DEL. CODE ANN. tit. 8 § 211(b). Although there is no express statutory requirement that the business to be transacted at a special meeting of stockholders be "proper business," this is because the only business that may be transacted at such a special meeting is that which was set forth in the notice of meeting. *See id.* § 222(a); *see also* Transcript of Ruling on Defendants' Motion for Summary Judgment at 17, Icahn Partners LP v. Hester, C.A. No. 2021-1031-KSJM (Del. Ch. Apr. 5, 2022) ("There is no reason to believe that stockholders are only permitted to conduct proper business at annual meetings but may conduct improper business at special meetings."). In addition, Section 228 of the DGCL only allows stockholders to take by consent "any action which may be taken at any special meeting of stockholders." DEL. CODE ANN. tit. 8 § 228(a). It does not permit transaction of *improper* business by consent.

20. Hoschett v. TSI Int'l Software, Ltd., 683 A.2d 43, 45–46 (Del. Ch. 1996). Former Chancellor Allen made these observations in the context of concluding that stockholders could not dispense with holding an annual meeting via action by consent in lieu thereof. Notably, after *Hoschett* was decided, Section 211(b) of the DGCL was amended to authorize stockholders to act by consent in lieu of an annual meeting either (i) unanimously or (ii) "if all of the directorships to which directors could be elected at an annual meeting held at the effective time of [such action] are vacant and are filled by such action." LEWIS S. BLACK, JR. & FREDERICK H. ALEXANDER, ANALYSIS OF THE 1997 AMENDMENTS TO THE DELAWARE GENERAL CORPORATION LAW 313–14 (1997) ("This somewhat

The DGCL does not, however, define what items constitute "proper business." In addition, case law provides little guidance on this topic, a fact that scholars and courts have acknowledged in discussing the Rule 14a-8(i)(1) basis for exclusion.[21] Given this "paucity of applicable state law," the SEC has built "a common law of its own as to what constitutes a proper subject for shareholder action."[22]

The Board's Authority. Section 141(a) of the DGCL empowers the board of directors to manage "the business and affairs of the corporation," except as otherwise provided by the DGCL or the certificate of incorporation.[23] By authorizing the board of directors to manage both business *and* affairs, Section 141(a) confers on directors the "power to act in areas beyond the scope of the directors' duties in guiding the corporation's day-to-day business."[24] This broad grant of authority provides the board with substantial latitude in determining the types of management-sponsored proposals to present at a stockholder meeting.[25] Many practitioners and scholars

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awkward-sounding requirement [in foregoing clause (ii)] was intended to prevent insurgent stockholders from usurping the board's role in establishing orderly corporate governance procedures. Without the requirement that the directorships to be filled be vacant when filled, dissidents might attempt to use the written consent process to avoid the effect of staggered boards or provisions requiring a high vote for removal of directors.").

21. *See, e.g.*, Med. Comm. for Hum. Rts. v. SEC, 432 F.2d 659, 677 (D.C. Cir. 1970) ("[T]he paucity of applicable state law giving content to the concept of 'proper subject' led the [SEC] to seek guidance from precedent existing in jurisdictions which had a highly developed commercial and corporate law and to develop its own 'common law' relating to proper subjects for shareholder action.") *vacated*, 404 U.S. 403 (1972); *see also* LOSS ET AL., *supra* note 13, at 513–14.

22. *Med. Comm. for Hum. Rts.*, 432 F.2d at 677, 680 n.29.

23. *See* DEL. CODE ANN. tit. 8 § 141(a).

24. R. FRANKLIN BALOTTI & JESSE A. FINKELSTEIN, DELAWARE LAW OF CORPORATIONS AND BUSINESS ORGANIZATIONS § 4.1 (4th ed. John Mark Zeberkiewicz et al. 2025).

25. *See* DEL. CODE ANN. tit. 8 § 141(a); *see also* Mark J. Loewenstein & Jay Geyer, *Shareholder Primacy and the Moral Obligation of Directors*, 26 FORDHAM J. CORP. & FIN. L. 105, 141 (2021) (observing that a board of directors "can refer a matter to the shareholders for an advisory vote or a binding determination"). One might argue that if boards routinely adopt advisory resolutions making recommendations to stockholders, then stockholders should have the same ability. But this overlooks a key distinction: directors seeking stockholder action owe a "fiduciary duty to disclose fully and fairly all material information within the board's control," including whether the directors recommend that stockholders approve the action. Arnold v. Soc'y for Sav. Bancorp, Inc., 650 A.2d 1270, 1277 (Del. 1994); *cf. In re* Berkshire Realty Co., Inc., No. Civ.A. 17242, 2002 WL 31888345, at *4 (Del. Ch. Dec. 18, 2002) ("On the contrary, if the board, in the exercise of its business judgment, determined that liquidation was not in the best interests of the corporation and its stockholders, it could not have recommended a liquidation without violating its fiduciary duty to the stockholders."); *In re* MultiPlan Corp. S'holders Litig., 268 A.3d 784, 806–07 (Del. Ch. 2022) ("[A] board of directors is under a fiduciary duty to disclose material information when seeking shareholder action. Here, the Board did not make a recommendation about how stockholders' rights to redeem should be exercised. But Class A stockholders were required nonetheless to decide whether to [redeem] . . . . They relied upon the Board to provide them with all material information in making that choice."). Only the board acting as a collective body—not individual directors—may make a formal recommendation to stockholders. *Cf.* Empire S. Gas Co. v. Gray, 46 A.2d 741, 748 (Del. Ch. 1946) ("The right to speak for the board of directors, qua board, may be given . . . by those in control of the board as they see fit . . . ."). Certain DGCL provisions also reflect this reality. For example, before a charter amendment can be submitted for stockholder approval, Section 242(b)(1) requires a board to adopt a resolution "declaring its advisability."

understand Section 141(a) of the DGCL as instilling in the board of directors the default power and authority with respect to governance matters and considerations not otherwise given to stockholders under the DGCL.[26] Even where the DGCL expressly grants stockholders the power to take a specific action, such a grant may be limited by the board's authority under Section 141(a).[27] As such, this statutory overlay raises uncertainty regarding whether stockholder-submitted precatory proposals constitute proper business under Delaware law, given the lack of express authorization in the DGCL.[28]

Proper Business and Voting Rights. The SEC's formulation of a "proper subject for [stock]holder action" under state law likely comes the closest to a black letter definition of "proper business" under Delaware law. Translated into Delaware law parlance, a proper subject for stockholder action is one on which stockholders have a right to vote. Where stockholders have the right to vote on an action, such a matter is clearly proper business. Conversely, where stockholders do not have the right to vote on a matter, then a stockholder's attempt to raise the matter for transaction at an annual meeting would likely run afoul of Section 141(a) of the DGCL and thus not constitute proper business. This raises the question whether stockholders have the right to vote on, and to submit, stockholder-proposed precatory proposals. In a 2024 article advocating for the

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26. *See, e.g.*, Jill E. Fisch, *Governance by Contract: The Implications for Corporate Bylaws*, 106 CALIF. L. REV. 373, 388 (2018) ("[S]hareholder authority over corporate affairs is limited and . . . all residual authority is vested in the board of directors. This perspective is consistent with the argument . . . that board power to manage the corporation is unlimited pursuant to [DGCL] section 141(a), but shareholders possess only those powers expressly conferred by the statute."); D. Gordon Smith, *Corporate Governance and Managerial Incompetence: Lessons from Kmart*, 74 N.C. L. REV. 1037, 1120–21 (1996) ("For purposes of corporate governance, the central authority is the board of directors, which manages or supervises the management of the affairs of the corporation . . . . [C]orporate law makes directors responsible to shareholders—at least nominally—primarily through annual elections. Other formal mechanisms for introducing responsibility into the director/ shareholder relationship, primarily through policy participation, have been severely limited, in recognition of the fact that challenging authority in this manner imposes costs on the corporation."). Even where stockholders and the board share concurrent authority—such as the power to adopt, amend, or repeal bylaws—that authority "is not coextensive with the board's concurrent power and is limited by the board's management prerogatives under the [DGCL]." CA, Inc. v. AFSCME Emps. Pension Plan, 953 A.2d 227, 232 (Del. 2008). Section 122(18) of the DGCL nonetheless authorizes a corporation to covenant with current or prospective stockholders that the board will take—or refrain from taking—specified actions without contravening Section 141(a). But the statute requires board action in the first instance: the board must approve the arrangement and determine the minimum amount of consideration the corporation will receive. *See* DEL. CODE ANN. tit. 8 § 122(18).

27. *Cf.* CA, Inc. v. AFSCME Emps. Pension Plan, 953 A.2d 227, 232 (Del. 2008); ("[T]he shareholders' statutory power to adopt, amend or repeal bylaws is not coextensive with the board's concurrent power and is limited by the board's management prerogatives under Section 141(a)."); *id.* at 232 n.7 (alterations in original) ("Because the board's managerial authority under Section 141(a) is a cardinal precept of the DGCL, we do not construe Section 109 as an 'except[ion] . . . otherwise specified in th[e] [DGCL]' to Section 141(a).").

28. *Cf.* Brooks v. Standard Oil Co., 308 F. Supp. 810, 813–14 (S.D.N.Y. 1969) (deferring to the conclusion of the SEC's Division of Corporation Finance that a statute vesting management power in the board of directors rendered a precatory stockholder proposal relating to oil exploration policies not a proper subject for stockholder action under the law of the company's domicile).

validity and use of bylaws that regulate precatory proposals, Professor Mohsen Manesh posited that stockholders have a right to propose business but, because this right is not derived from "the statutory text of the DGCL" and "judicial references to it are scant and fleeting," that it exists in some sort of quasi-right territory and thus may be restricted by bylaw provision.[29] But then, what is the root of such a right? Further, if submitting a precatory proposal is a "right" conferred by stock ownership, then can a bylaw provision impose substantive restrictions thereon (as opposed to procedural requirements like advance notice provisions that allow the holder of a single share to bring business and nominations subject to satisfaction thereof)?[30] Answering these questions requires an examination of the Delaware voting rights jurisprudence.

Fundamental Stockholder Rights. The Delaware courts have recognized that "stockholders have three fundamental, substantive rights: to vote, to sell, and to sue."[31] "From these fundamental rights flow subsidiary rights, including the right to communicate with other stockholders, nominate directors, and communicate with (and even oppose) management and the Board."[32] Subsidiary rights exist to ensure that a stockholder's exercise of the underlying fundamental right is not illusory or "meaningless."[33] Because the current issue relates to stockholder voting, the fundamental right implicated is the right to vote.[34] In the context of

29. Mohsen Manesh, *The Corporate Contract & the Private Ordering of Shareholder Proposals*, 50 J. CORP. L. 1, 29 (2024). Professor Manesh's recent contribution, which assumes the existence of a non-fundamental right to submit precatory proposals in the context of discussing private ordering, reflects growing attention to the uncertain foundation of such proposals under Delaware law. Although this article does not adopt his framing, it builds on the important premise that the legal status of precatory proposals in Delaware warrants closer examination.

30. Generally, any limitation or restriction on the powers, preferences or rights of a class or series of stock must be set forth (or incorporated by reference) in the charter or a certificate of designation. DEL. CODE ANN. tit. 8 §§ 102(a)(4), 151(a).

31. Strougo v. Hollander, 111 A.3d 590, 595 n.21 (Del. Ch. 2015).

32. Williams Cos. S'holder Litig., No. 2020–0707, 2021 WL 754593, at *20 (Del. Ch. Feb. 26, 2021).

33. *See* Harrah's Ent., Inc. v. JCC Holding Co., 802 A.2d 294, 311 (Del. Ch. 2002) (observing that the fundamental right to elect directors would be "meaningless" without a subsidiary right to nominate a competing slate); *cf.* Moon v. Moon Motor Car Co., 151 A. 298, 302 (Del. Ch. 1930) (recognizing a stockholder right to fill newly created directorships because stockholders could increase the size of the board, noting that "it would be a strange situation if the majority of the real owners of the corporation were to be compelled to await the passage of perhaps as much as nearly a year of time before it becomes possible for them to put into practice that which their judgment approves").

34. Recent decisions of Vice Chancellor J. Travis Laster have articulated stockholder rights in terms of "rights appurtenant to the shares," rather than dividing them into "fundamental" and "subsidiary" categories. In New Enterprise Assocs. 14, L.P. v. Rich, 295 A.3d 520, 574 (Del. Ch. 2023), Vice Chancellor Laster explained that "[t]he DGCL, charter, and bylaws specify what rights are appurtenant to the shares and available for the stockholders to exercise." Included within this bundle are so-called "default rights," or rights the DGCL "sets out" or "acknowledges" that shares "possess by default." Colon v. Bumble, Inc., 305 A.3d 352, 358–59 (Del. Ch. 2023). Default rights are "set out" when the DGCL expressly grants stockholders a specified ability or entitlement—for example, Section 220 (right to inspect corporate books and records) or Section 170(a) (right to receive dividends declared by

voting rights, where stockholders have the right to take (i.e., vote on and effect) unilateral action, the right to propose such action flows from the right to vote thereon.[35] The courts have acknowledged that a contrary result would render the underlying right to vote meaningless.[36] Specifically, because stockholders, rather than the board, have the right to elect directors, the courts have held that the right to nominate a competing slate is "[s]ubsumed within that fundamental right to vote."[37] In reaching this conclusion, the courts have observed that "the unadorned right to cast a ballot in a contest for [corporate] office . . . is meaningless without the right to participate in selecting the contestants."[38] Similarly, because stockholders have the right to vote on bylaw amendments, it has been observed that they have "the right to propose mandatory amendments to bylaws and bring them to a vote, assuming the proposed bylaw is valid under [Delaware] law."[39]

Interpreting Doctrinal Silence. Delaware law does not expressly prohibit stockholders from submitting precatory proposals, but, as discussed, neither does

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the board). The only default right that Vice Chancellor Laster has identified as "acknowledged" by the DGCL is the right to sue for breach of fiduciary duty.

Although no DGCL provision expressly grants this right, Vice Chancellor Laster observed that it is "acknowledge[d] indirectly" by Sections 102(b)(7) and 327—each of which includes express language regulating stockholder litigation. *Colon*, 305 A.3d at 359. Section 102(b)(7) allows corporations to regulate a stockholder's ability to pursue money damages in claims for breach of the duty of care via charter provision. Section 327, in turn, regulates a stockholder's ability to initiate derivative litigation via standing requirements. By contrast, no provision of the DGCL "sets out" or "acknowledges" a right to submit precatory proposals. Section 211(b)—which permits "any other proper business" to be transacted at an annual meeting—is the only provision that plausibly can be cited in support. But unlike Sections 102(b)(7) and 327, Section 211(b) contains no express language regulating (or even referencing) stockholder-submitted precatory proposals. Instead, it uses broad and generic terms that fail to evidence any relationship or nexus to an underlying right. Thus, it appears that under Vice Chancellor Laster's view of stockholder rights, the ability to submit a precatory proposal does not qualify as a "default right."

35. Where stockholders lack the unilateral power to effect a specific action, they likewise lack any subsidiary right to propose that action for approval by their fellow stockholders at a meeting. In such cases, the board—or, in certain contexts, the SEC—serves as the gatekeeper. *See*, *e.g.*, DEL. CODE ANN. tit. 8, §§ 242, 251 (requiring prior board action to submit most charter amendments and mergers for stockholder approval); 17 C.F.R. § 240.14a-21 (2025) (requiring most public companies to "include a separate resolution subject to shareholder advisory vote to approve the compensation of its named executive officers, as disclosed pursuant to Item 402 of Regulation S-K").

36. *See, e.g.*, Hubbard v. Hollywood Park Realty Enters., Inc., No. 11779, 1991 WL 3151, at *6 (Del. Ch. Jan. 14, 1991) ("[T]he unadorned right to cast a ballot in a contest for [corporate] office, a vehicle for participatory decision making and the exercise of choice, is meaningless without the right to participate in selecting the contestants." (quoting Durkin v. Nat'l Bank of Olyphant, 772 F.2d 55, 59 (3d Cir. 1985))).

37. Sternlicht v. Hernandez, No. 2023-0477-PAF, 2023 WL 3991642, at *13 (Del. Ch. June 14, 2023); *see also Hubbard*, 1991 WL 3151, at *5 ("The shareholders' right to vote includes the right to nominate a contesting slate.").

38. *Harrah's*, 802 A.2d at 311.

39. E. Norman Veasey, *What Would Madison Think? The Irony of the Twists and Turns of Federalism*, 34 DEL. J. CORP. L. 35, 52 (2009). Under Delaware law, stockholder-adopted bylaws must be procedural and not substantive in nature. *See* CA, Inc. v. AFSCME Emps. Pension Plan, 953 A.2d 227, 234–36 (Del. 2008).

it affirmatively authorize or recognize a right to do so. Some may interpret this statutory and doctrinal silence as implicitly permitting such proposals. This article adopts a different view—one grounded in Delaware precedent: stockholder rights (particularly those that intersect with the board's managerial authority under Section 141(a)) must be affirmatively conferred by statute, charter, bylaw, or binding judicial decision. In a system of corporate law that prioritizes private ordering[40] and board-centric governance,[41] the absence of express allocation of authority to stockholders weighs against recognizing any inherent right.[42] That is, under a board-centric model, DGCL Section 141(a) can be viewed as a gap filler for the board's managerial authority. Accordingly, absent an express delineation of authority,[43] corporate power—such as setting the stockholder meeting agenda, subject to stockholders' ability to raise items which they can unilaterally effect under law[44]—should be exercised by those who owe a fiduciary duty to act equitably.[45] Thus, this approach favors doctrinal clarity over implied rights and aligns with the Delaware courts' consistent emphasis on protecting the division of authority within the corporate structure.[46]

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40. *See* Williams v. Geier, 671 A.2d 1368, 1381 (Del. 1996) ("At its core, the Delaware General Corporation Law is a broad enabling act which leaves latitude for substantial private ordering, provided the statutory parameters and judicially imposed principles of fiduciary duty are honored.").

41. *See In re* CNX Gas Corp. S'holders Litig., 4 A.3d 397, 415 (Del. Ch. 2010) ("[D]irector primacy remains the centerpiece of Delaware law, even when a controlling stockholder is present.").

42. *Cf.* New Enterprise Associates 14, L.P. v. Rich, 295 A.3d 520, 574 (Del. Ch. 2023) ("The DGCL, charter, and bylaws specify what rights are appurtenant to the shares and available for the stockholders to exercise."); Iman Anabtawi, *The Limits of Shareholder Ratification*, 50 J. CORP. L. 449, 471 (2025) ("[D]irectors possess primary managerial power separate and distinct from the shareholders, with shareholders retaining only those limited rights conferred upon them by statute.").

43. As noted above, even where the DGCL expressly grants stockholders the power to take a specific action, such a grant may be limited by the board's authority under Section 141(a). *See supra* note 27 and accompanying text.

44. *See infra* notes 59–65 and accompanying text.

45. *See* Fisch, *supra* note 26, at 388 ("[S]hareholder authority over corporate affairs is limited and . . . all residual authority is vested in the board of directors. This perspective is consistent with the argument . . . that board power to manage the corporation is unlimited pursuant to [DGCL] section 141(a), but shareholders possess only those powers expressly conferred by the statute."); *see also* W. Palm Beach Firefighters' Pension Fund v. Moelis & Co., 311 A.3d 809, 846–47 (Del. Ch. 2024) ("After all, where do directors' fiduciary duties come from? Under Delaware law, they accompany the plenary authority that Section 141(a) confers on the board."). *But see* Melvin A. Eisenberg, *Megasubsidiaries: The Effect of Corporate Structure on Corporate Control*, 84 HARV. L. REV. 1577, 1591 (1971) (arguing that statutes such as DGCL Section 141 "were not intended to vest the board with power to exercise all corporate powers not reserved to the shareholders, but only with power to make business decisions and set business policy, within the framework of the corporate structure at the time the decision is made").

46. *See, e.g.*, Abercrombie v. Davies, 123 A.2d 893, 900 (1956) (invalidating stockholders' attempt to encroach on a board's statutory authority); *In re* AMC Ent. Holdings, Inc. S'holder Litig., No. 2023-0215-MTZ, 2023 WL 5165606, at *25 (Del. Ch. Aug. 11, 2023) ("When the board intrudes into or infringes the stockholders' voting authority, the board interferes with the allocation of governance power between the board and the stockholders."), *aff'd sub nom.*, *In re* AMC Ent. Holdings, Inc., 319 A.3d 310 (Del. 2024), *cert. denied sub nom.*, Izzo v. AMC Ent. Holdings, Inc., 145 S. Ct. 285 (2024).

Sanctity of Stockholder Voting Rights. This poses the question whether stockholders have a right to vote on a non-binding resolution raised by another stockholder. To answer this question, the universe of matters on which stockholders have the right to vote under Delaware law must be defined. Under Delaware law, stockholder "voting rights are sacrosanct."[47] This is because "stockholders have limited opportunities to excise their voting rights."[48] Specifically, stockholders only have "the right to vote on specific matters, in particular, in an election of directors,"[49] which has been characterized as "the most important" voting right.[50] Accordingly, courts apply enhanced scrutiny where (i) stockholders have a right to

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Although the Delaware Court of Chancery has previously recognized an inherent stockholder power not affirmatively granted by the DGCL or the company's bylaws—the power to remove directors for cause—it did so only after finding that the absence of such power would expose the corporation to "the possibility of real damage." Campbell v. Loew's, Inc., 134 A.2d 852, 858 (Del. Ch. 1957); *see also* Moon v. Moon Motor Car Co., 151 A. 298, 302 (Del. Ch. 1930) (recognizing an inherent stockholder right to fill newly created directorships because stockholders could increase the size of the board, noting that "it would be a strange situation if the majority of the real owners of the corporation were to be compelled to await the passage of perhaps as much as nearly a year of time before it becomes possible for them to put into practice that which their judgment approves"). The court reasoned that, "[w]hen we seek to exclude the existence of a power by implication, I think it is pertinent to consider whether the absence of the power can be said to subject the corporation to the possibility of real damage." *Campbell*, 134 A.2d at 858. Because a director incapable of removal could seriously harm the corporation, the court concluded that "the doubt must be resolved by construing the statutes and by-laws as leaving untouched the question of director removal for cause," and that it was therefore "free to conclude on reason that the stockholders have such inherent power." *Id.* The dangers posed by an irremovable director are not present in the context of precatory stockholder proposals, which—even if approved—are nonbinding and may be disregarded by the board. *See, e.g.*, Marcel Kahan & Edward Rock, *Symbolic Corporate Governance Politics*, 94 B.U. L. REV. 1997, 2018 (2014) ("Precatory proposals, of course, are non-binding. Boards are at liberty to ignore them.").

47. EMAK Worldwide, Inc. v. Kurz, 50 A.3d 429, 433 (Del. 2012).

48. *Id.*; *see also* Anabtawi, *supra* note 42, at 463 ("Although shareholders have only limited involvement in U.S. corporate governance, they enjoy specific voting rights under state corporation statutes, including the right to approve fundamental corporate changes, such as mergers, sales of all or substantially all of the firm's assets, and dissolutions, as well as amendments to the firm's certificate of incorporation under state corporation statutes. In addition, a corporation can voluntarily solicit shareholder votes (or proxies) at an annual or special meeting of shareholders or through action by written consent.").

49. MM Cos. v. Liquid Audio, Inc., 813 A.2d 1118, 1126 (Del. 2003).

50. *In re AMC Ent. Holdings, Inc.,* No. 2023-0215-MTZ, 2023 WL 5165606, at *28 (quoting S.A. Fire & Police Pension Fund v. Bradbury, No. CIV.A. 4446-VCN, 2010 WL 4273171, at *7 (Del. Ch. Oct. 28, 2010)). The reason for elevating the right to vote in director elections is because stockholders generally have only two protections against poor company performance: "[t]hey may sell their stock" or "they may vote to replace incumbent board members." Blasius Indus., Inc. v. Atlas Corp., 564 A.2d 651, 659 (Del. Ch. 1988). The fundamental right to sue also provides protection by providing stockholders a means to police, among other things, potential fiduciary misconduct that could be contributing to poor company performance. *See* William T. Allen, *The Corporate Director's Fiduciary Duty of Care and the Business Judgment Rule Under U.S. Corporate Law*, *in* COMPARATIVE CORPORATE GOVERNANCE: THE STATE OF THE ART AND EMERGING RESEARCH 307, 313 (Klaus J. Hopt et al. eds., 1998) ("U.S. corporation law affords to stockholders three principal sources of protection of their interests: the stockholder's right to vote his or her stock, to sell stock, and the fiduciary duty of corporate officers and directors, all of which are principally enforced judicially through shareholder-initiated lawsuits.").

vote on a matter and (ii) the directors then "take action that intrudes on the space allotted for stockholder decision-making."[51] Delaware courts apply enhanced scrutiny along a continuum, depending on the significance of the voting right at issue: the more important the voting right, the harder it is for directors to succeed in defending a stockholder challenge to alleged infringement.

Nature of Stockholder Voting Rights. In developing this enhanced scrutiny continuum, the courts have identified three categories of stockholder voting rights: (i) where the matter involves "the election of directors or . . . issues of directorial control",[52] (ii) where "the law provides stockholders with a right to vote"[53] or the "charter[] or bylaws" "commit[]"[54] a matter to a stockholder vote, and (iii) where "the directors submit proposals to a stockholder vote."[55] These cases establish that the right to vote applies only where a matter has been "committed to"[56] stockholders by a specific source of authority. Possible sources of authority include the DGCL and case law interpreting it, the charter or bylaws, federal law or action of the board (including a decision to subject the corporation to rules or contractual covenants requiring a stockholder vote). In other words, for stockholders to have a right to vote on a matter, there must be a recognized source of authority pursuant to which such matters are committed to them. Because a stockholder's non-binding request to the board (i.e., a precatory proposal) does not, absent an express charter or bylaw provision to the contrary, derive from any of these sources of authority (at least those submitted outside of the Rule 14a-8 process), under Delaware law, stockholders do not have a fundamental right to vote on, and thus no subsidiary right to submit, precatory proposals.[57] This conclusion is supported by a statement from the U.S. District

51. Reis v. Hazelett Strip-Casting Corp., 28 A.3d 442, 457 (Del. Ch. 2011).

52. *In re* MONY Grp., Inc. S'holder Litig., 853 A.2d 661, 673 (Del. Ch. 2004).

53. *Reis*, 28 A.3d at 457.

54. Mercier v. Inter-Tel (Del.), Inc., 929 A.2d 786, 808 (Del. Ch. 2007).

55. *MONY*, 853 A.2d at 673.

56. *Inter-Tel*, 929 A.2d at 809 n.65.

57. Although a distinguished Delaware law practitioner has expressed the view that precatory stockholder proposals fall within "proper business" under Section 211(b) of the DGCL, two former Chief Justices of the Delaware Supreme Court have taken the contrary position. *Compare* R. Franklin Balotti, Roundtable Discussions Regarding the Federal Proxy Rules and State Corporation Law 34–35 (May 7, 2007) [hereinafter *State Law Roundtable*], https://www.sec.gov/spotlight/proxyprocess/proxy-transcript050707.pdf [https://perma.cc/HT9K-FM9Y] ("I think precatory resolutions are authorized by 211, which says that a stockholder can bring before a meeting anything that is proper for a stockholder to act on."), *with* Strine, *supra* note 18, at 1088–89 n.33 ("[T]he term 'proper business' would seem to stop far short of giving a stockholder a right to demand a vote on a non-binding resolution . . . ."); Leo E. Strine, Jr., *State Law Roundtable*, *supra*, at 18 ("[In Delaware we] do not have imaginary voting. We do not have therapy for whoever . . . . We do not have what I call 'pizza on the wall.' That is precatory proposals . . . . Motive things, we do not do."); Veasey, *supra* note 39, at 53 ("[P]recatory proposals have no basis in state law . . . ."); Leo E. Strine, Jr., Unofficial Transcript of the Roundtable Discussion on Proposals for Shareholders 96–97 (May 25, 2007), https://www.sec.gov/news/openmeetings/2007/openmtg_trans052507.pdf [https://perma.cc/SLL5-ZCKT] ("What [Section 211(b)] says is that you can come before an annual meeting and you can bring up anything that's proper . . . . [W]here is there a court case that says I stood up at the annual meeting and

Court for the Southern District of New York: "Under Delaware law, a shareholder in attendance at the annual meeting may offer a proposal for shareholder approval, *as long as the proposal involves a proper subject on which shareholders may vote*."[58]

B. *Defining Proper Business*

Proper Business Revisited. With this background, the following categorizes matters that fall within the scope of "proper business" under Delaware law, based on the source from which the right to vote on each is derived.

DGCL Business. Certain items of proper business can be identified upon a review of the DGCL: (i) the election of directors;[59] (ii) the removal of directors;[60] (iii) the amendment of the bylaws;[61] (iv) the amendment of the certificate of incorporation, or charter;[62] (v) with limited exceptions, the approval of mergers, conversions, sales of substantially all assets, dissolutions and domestications;[63] and (vi) absent a charter or bylaw provision to the contrary, the filling of board vacancies and newly created directorships.[64] A matter requiring stockholder approval under the DGCL constitutes proper business to be transacted at a

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I demanded a vote[?] The chairman said I could make my remarks, but I'm not having a vote on it because it's not a bylaw. And then went to a state court, and the state court says as a matter of corporate law, yes, you have to put it to a shareholder vote. The shareholder vote on these nonbinding things is a result of federal action . . . . You're not vindicating a state law right."). In addition, Chairman Atkins expressed agreement with then-Vice Chancellor Strine's view. *See* Atkins, *supra* note 6 ("The SEC recognizes that the use of non-binding, advisory shareholder proposals is essentially a federal creation. As Vice Chancellor Leo Strine . . . stated at our proxy roundtable last year, Delaware corporate law does not recognize advisory proposals.").

58. Amalgamated Clothing & Textile Workers Union v. Wal-Mart Stores, Inc., 821 F. Supp. 877, 881 (S.D.N.Y. 1993) (emphasis added). In the context of holding that an advance notice bylaw did not apply to proposals submitted by a plaintiff stockholder, the Delaware Court of Chancery observed that the "default rule in Delaware" is that absent an advance notice bylaw, stockholders are "free to raise for the first time and present any proposals they desire" at an annual meeting. Jana Master Fund, Ltd. v. CNET Networks, Inc., 954 A.2d 335, 344 (Del. Ch. 2008). Although this statement is broader than the Southern District of New York's, the issue of "proper business" was not before the Court.

59. *See* DEL. CODE ANN. tit. 8 §§ 211(b), 216.

60. *See id.* § 141(k).

61. *See id.* § 109(a).

62. *See id.* § 242(b).

63. *See, e.g.*, *id.* §§ 251 (merger or consolidation of domestic corporations), 266 (conversion of a domestic corporation to other entities), 271 (sale, lease or exchange of all or substantially all assets), 275 (dissolution), 390 (transfer, domestication or continuance of domestic corporations). Stockholders can unilaterally authorize a dissolution if all stockholders entitled to vote thereon consent in writing to the dissolution. *Id.* § 275(c).

64. *See, e.g.*, Siegman v. Tri-Star Pictures, Inc., No. 9477, 1989 WL 48746, at *6 (Del. Ch. May 5, 1989) ("The defendants concede that the shareholders have the inherent power . . . to fill vacancies and newly created directorships [absent a charter provision to the contrary]."). In addition, absent a charter provision to the contrary, the bylaws (including a stockholder-adopted bylaw) can authorize stockholders to fix the number of directors.

meeting.[65] As explained above, where the DGCL grants stockholders a right to unilaterally take action, such as electing or removing directors and amending the bylaws, a stockholder has the right to propose such business at the meeting.

Governing Document Business. The DGCL provides wide latitude for corporate constituents to privately order their affairs via provisions in the certificate of incorporation (including a certificate of designation) or bylaws.[66] This includes the ability to adopt charter or bylaw provisions requiring stockholder approval of specified matters, which matters would clearly constitute proper business.[67]

Other Required Business. To the extent stockholder approval of a specific matter is required by federal law, rule or regulation (e.g., the say-on-pay vote required by the Dodd-Frank Act),[68] or by a source other than federal or state law (such as a stock exchange rule, equity incentive plan, or contract), such matters would constitute proper business.[69] Note that Rule 14a-8 has historically been interpreted as vindicating existing state law rights and not conferring additional substantive rights.[70] If, instead, it were interpreted as providing stockholders a substantive right to submit compliant precatory proposals for action at a meeting, rather than simply a proxy access right,[71] then, under Delaware law, a precatory

65. *See, e.g.*, DEL. CODE ANN. tit. 8 § 271(a) (emphasis added) ("Every corporation may at any meeting of its board of directors . . . sell, lease or exchange all or substantially all of its property and assets . . . upon such terms and conditions and for such consideration . . . as its board of directors . . . deems expedient and for the best interests of the corporation, when and as authorized by a resolution adopted by the holders of a majority of the outstanding stock of the corporation entitled to vote thereon . . . , *at a meeting* duly called upon at least 20 days' notice.").

66. *See* Williams v. Geier, 671 A.2d 1368, 1381 (Del. 1996) ("At its core, the Delaware General Corporation Law is a broad enabling act which leaves latitude for substantial private ordering, provided the statutory parameters and judicially imposed principles of fiduciary duty are honored.").

67. *Cf.* Salama v. Simon, 328 A.3d 356, 366 (Del. Ch. 2024) (discussing rules of interpretation in "cases involving stockholder voting rights that appear in a certificate of incorporation or the bylaws"), *aff'd*, C.A. No. 2024-1124, 2025 WL 1703316 (Del. June 18, 2025).

68. Further, if a stockholder vote is mandated by federal law, then the directors' fiduciary duties would require them to ensure such proposal is submitted for stockholder approval. *Cf.* Guttman v. Huang, 823 A.2d 492, 506 n.34 (Del. Ch. 2003) ("[O]ne cannot act loyally as a corporate director by causing the corporation to violate the positive laws it is obliged to obey.").

69. For the same reasons directors can, on a case-by-case basis, determine to seek binding or non-binding stockholder approval of a matter, they have the power to subject the corporation to a regime (such as an agreement to comply with the rules of a stock exchange in consideration for listing the company's stock for trading) that requires stockholder approval of specified matters. *See* Lennane v. Ask Comput. Sys., Inc., No. 11744, 1990 WL 154150, at *8 (Del. Ch. Oct. 11, 1990) (recognizing a "right to vote that arises only from director action"); *see also In re* MONY Grp., Inc. S'holder Litig., 853 A.2d 661, 673 (Del. Ch. 2004) (discussing voting rights on "other matters in which directors submit proposals to a stockholder vote").

70. *See* Stephen M. Bainbridge, *Revitalizing Sec Rule 14a-8's Ordinary Business Exclusion: Preventing Shareholder Micromanagement by Proposal*, 85 FORDHAM L. REV. 705, 735 (2016) ("As adopted, Rule 14a-8 was not intended to create any new substantive rights, but only to make effective a right to ballot access that the SEC believed existed under state law.").

71. *See* Anne Tucker, *Flawed Assumptions: A Corporate Law Analysis of Free Speech and Corporate Personhood in* Citizens United, 61 CASE W. RES. L. REV. 497, 534 (2010) ("The proxy-proposal process, as outlined in Rule 14a-8, gives individual shareholders the right to propose

proposal submitted pursuant to such rule would be a matter committed to stockholders by "law."[72]

Management Business. There are situations in which a board might determine it is advisable to submit, or allow the submission of, a matter for stockholder approval, and, even if the DGCL, governing documents, federal law or other source does not contemplate stockholder action thereon, such a matter would constitute proper business.[73]

Business Authorized by Transamerica. The *SEC v. Transamerica Corp.* decision supports the conclusion that *binding*[74] stockholder proposals requiring stockholder appointment of outside auditors and the distribution of a report of the annual meeting to stockholders constitute proper business ("Transamerica Proposals").[75] However, the precedential value of *Transamerica* is far from certain. Multiple scholars have noted that the Third Circuit did not base its

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resolutions independent from management, to have those resolutions included in the management's proxy statement, and to have the remaining shareholders vote on the resolution at the annual meeting.").

72. *See* Reis v. Hazelett Strip-Casting Corp., 28 A.3d 442, 457 (Del. Ch. 2011).

73. *See* Loewenstein & Geyer, *supra* note 25, at 141; *see also Lennane*, 1990 WL 154150, at *8 ("A right to vote that arises only from director action is not constitutional in this sense, and with respect to such right, directors are bound simply to exercise their business judgment in an effort to promote the welfare of the corporation and the shareholders derivatively."). Whether the results of the stockholder vote are binding on the directors would depend on the disclosure to stockholders. *See* Baring v. Watergate E., Inc., No. Civ.A. 192-N, 2004 WL 418007, at *2 (Del. Ch. Feb. 25, 2004) (ordering a new vote due to inaccurate disclosure where the board sought approval and disclosed to members "that their vote would count" even though neither the DGCL nor the company's certificate of incorporation required stockholder approval of the transaction).

74. Note that the SEC's brief in the *Transamerica* appeal stated that the question of whether advisory resolutions are "proper subjects for action by the security holders" was "not involved in this case." Daniel M. Friedman, *SEC Regulation of Corporate Proxies*, 63 HARV. L. REV. 796, 805 n.36 (1950).

75. SEC v. Transamerica Corp., 163 F.2d 511 (3d Cir. 1947). There, the Third Circuit did not agree that a company could exclude from its proxy materials the following as improper subjects for stockholder action under Delaware law: (1) a bylaw amendment requiring stockholder approval of independent auditors; (2) a binding proposal requiring the company to send a report of the annual meeting to all stockholders; and (3) a bylaw amendment to repeal an existing board-adopted bylaw that the company relied on in seeking to exclude the proposals. The Court held that the board-adopted bylaw was not valid under Delaware law because it infringed on the stockholder's unfettered right to amend the bylaws.

Regarding the auditor selection proposal, the Court acknowledged that the DGCL was silent but reasoned that "the audit of a corporation's books may not be considered to be peculiarly within the discretion of the directors." *Id.* at 517. Because "[s]tockholders are entitled to employ watchmen to eye the guardians of their enterprise, the directors," the Court held that auditor selection, whether styled as a bylaw amendment or binding resolution, "beyond any question is a proper subject for action by the stockholders." *Id.*

Regarding the annual meeting report proposal, the Court stated that it could "perceive no logical basis for concluding that it is not a proper subject" for stockholder action and that, while such proposal would result in the expenditure of corporate funds, "accurate information as to what transpires respecting the corporation is an absolute necessity if stockholders are to act for their joint interest." *Id.*

determination on any Delaware statutory or case law,[76] and, instead, "appeared to apply federal . . . . . law."[77] In addition, a later Oregon Supreme Court decision characterized *Transamerica* as "only [being] concerned with enforcement of Congressional and administrative determinations."[78] Notwithstanding this uncertainty, for current purposes, it will be assumed that the Transamerica Proposals constitute proper business to be submitted by stockholders and voted on at an annual meeting,[79] but it is unclear where such a result is derived from—Delaware law and the DGCL or federal law.

Chevron's Angola Proposal. There is one principal case that, without close examination, could be cited to support precatory proposals' inclusion within the pantheon of "proper business" under Delaware law.[80] In *Conservative Caucus Research, Analysis & Education Foundation, Inc. v. Chevron Corp*, a stockholder brought an action under Section 220 of the DGCL to compel production of the company's stocklist for the purpose of communicating with fellow stockholders about the economic risks of doing business in Angola and a related precatory proposal submitted by a non-party stockholder. The company argued, in part, that, because the precatory proposal was not a proper subject for stockholder action, it was not required to produce the stocklist. The Court of Chancery disagreed, stating, without citation, that "[j]ust because the resolution only requests the board to take certain action, however, does not make it improper nor change its purpose: to influence the board."[81] However, the Court had already

76. *See, e.g.*, David C. Bayne et al., *Proxy Regulation and the Rule-Making Process: The 1954 Amendments*, 40 VA. L. REV. 387, 401 (1954) ("[T]he court had no real basis to find that the four proposals involved in that case were valid under state law. There was no statutory basis or case law basis in Delaware to uphold the [proposals] of the shareholders in that case."); Jill E. Fisch, *The Transamerica Case*, *in* THE ICONIC CASES IN CORPORATE LAW 46, 53 (Jonathan R. Macey ed., 2008) ("Nor is the Transamerica decision based on state decisional law.").

77. Fisch, *supra* note 76, at 51–52.

78. Carter v. Portland Gen. Elec. Co., 362 P.2d 766, 769 (Or. 1961).

79. *But see* New Enterprise Associates 14, L.P. v. Rich, 295 A.3d 520, 574 (Del. Ch. 2023) ("The DGCL, charter, and bylaws specify what rights are appurtenant to the shares and available for the stockholders to exercise.").

80. Conservative Caucus Rsch., Analysis & Educ. Found., Inc. v. Chevron Corp., 525 A.2d 569 (Del. Ch. 1987).

81. *Id.* at 572. The Delaware Supreme Court has also observed that, where a stockholder seeks to inspect a company's books and records to institute derivative litigation, the stockholder may use uncovered information to "seek an audience with the board to discuss proposed reforms or, failing in that, they may prepare a stockholder resolution for the next annual meeting, or mount a proxy fight to elect new directors." Saito v. McKesson HBOC, Inc., 806 A.2d 113, 117 (Del. 2002). Although the *Saito* court referenced stockholder-proposed resolutions, it did not have occasion to address what types of resolutions would constitute "proper business" (i.e., binding vs. non-binding). Query whether the term "stockholder resolution" should be read to refer only to binding resolutions. Black's Law Dictionary defines "shareholder resolution" as a "resolution by shareholders, usu[ally] to ratify the actions of the board of directors." *Shareholder Resolution*, BLACK'S LAW DICTIONARY (12th ed. 2024). "Resolution," in turn, is defined as "[f]ormal action by a corporate board of directors or other corporate body authorizing a particular act, transaction, or appointment." *Resolution*, BLACK'S LAW DICTIONARY (12th ed. 2024).

concluded that simply communicating with stockholders regarding the economic risks posed by the company's Angolan operations supported production, so the court's discussion about the propriety of the precatory proposal amounts to *dicta*.[82] In addition, the actual issue of whether the *non-party* stockholder could properly bring the precatory proposal at the meeting was not before the court. Further, *Chevron* predates most of the voting rights jurisprudence discussed above.[83] In sum, this case does not stand for the proposition that a stockholder has a right to raise and force a vote on a precatory proposal, but rather it confirms that communication "with other stockholders about specific matters of corporate concern, especially in connection with a pending stockholders' meeting . . . [is] a proper purpose for a stockholder to obtain a stocklist."[84]

C. *Public Policy Does Not Justify Recognizing Precatory Proposal Rights*

Advocates of precatory proposals have raised policy-based arguments in support of recognizing a stockholder precatory proposal right, the principal two of which are that such proposals (i) enhance intra-corporate communication and (ii) promote management accountability.[85] These policy arguments, however, provide normative justifications for the SEC's adoption of Rule 14a-8, rather than a basis to conclude the existence of an inherent state law precatory proposal right.

Proposals-As-Communication. One of the principal justifications asserted in favor of precatory stockholder proposals is that they provide a means

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A request is certainly not a transaction or appointment, and the term "act" arguably contemplates formal corporate action with resulting legal effect. *See Act*, BLACK'S LAW DICTIONARY (12th ed. 2024) ("an occurrence that results from a person's will being exerted on the external world"). An advisory stockholder resolution does not necessarily produce any result, because the board is not obligated to act on such a recommendation. *See* Steven J. Cleveland, *Shareholder Activism & Unconstitutionally Compelled Speech*, 58 U.C. DAVIS L. REV. 1815, 1884 (2025) ("Rule 14a-8 is overinclusive in that the corporation is required to include certain proposals by activists that, even if approved by shareholders, have no legal effect and may be ignored by the board of directors.").

82. In other words, regardless of the Court's conclusion that communication with fellow stockholders regarding the precatory proposal supported production, it would have reached the same overall result. *See* Kastigar v. United States, 406 U.S. 441, 454–55 (1972) (noting that broad language in an opinion that was not necessary to a court's decision "cannot be considered binding authority"); *see also* Manesh, *supra* note 29, at 42 ("Having already ruled that the relevant bylaw was invalid as a matter of Delaware law, the Third Circuit's broad language [addressing the Exchange Act] was unnecessary to the Court's decision, and cannot be considered binding authority.").

83. In two other cases, the court allowed a plaintiff stockholder to inspect a company's stocklist for the purpose of soliciting proxies in favor of a precatory resolution submitted by such plaintiff. However, in neither case did the company contest, or the court address, whether such precatory proposals constituted "proper business" for the annual meeting. *See* Food & Allied Serv. Trades Dep't, AFL-CIO v. Wal-Mart Stores, Inc., No. 12551, 1992 WL 111285 (Del. Ch. May 20, 1992); Odyssey Partners v. Trans World Corp., No. 7125, 1983 WL 18011 (Del. Ch. Mar. 29, 1983). Like *Chevron*, these cases also predate much of the voting rights jurisprudence discussed above.

84. *Chevron*, 525 A.2d at 571.

85. *See generally* Cleveland, *supra* note 81.

of communication among stockholders[86] and between stockholders and management.[87] This policy-based justification has some grounding in (1) the recognized "subsidiary right" to communicate with stockholders and management[88] and (2) statements from the Delaware courts observing the importance of the annual meeting—specifically, the importance of its deliberative and communicative components.[89] However, there is a difference between acknowledging the value of intra-corporate communication, including by allowing open communication among participants at an annual meeting, and recognizing an inherent stockholder right to force a vote on a topic of such communication, no matter its substance, over the objection of the board.[90] Further, it has been observed that there is little actual deliberation that occurs at the annual meeting.[91]

Rule 14a-8 as a means for Communication. Much of the scholarship supporting "proposals-as-communication"[92] is in the context of justifying the SEC's decision to adopt, and maintain, Rule 14a-8. As in-person attendance at annual meetings dwindled, and stockholder suffrage occurred via unregulated proxy voting,[93] the SEC stepped in by adopting Rule 14a-8, which "opens, and then regulates, a channel of communication among shareholders, and between

86. *See* Jill E. Fisch, *The Destructive Ambiguity of Federal Proxy Access*, 61 EMORY L.J. 435, 480 (2012) ("Although precatory proposals have no legal effect even if they receive majority approval, they enable shareholders to communicate with each other.").

87. *See* Damon Silvers, *Commentary on "Toward Common Sense and Common Ground? Reflections on the Shared Interests of Managers and Labor in a More Rational System of Corporate Governance" by Leo E. Strine, Jr.*, 33 J. CORP. L. 85, 90 (2007) ("[A]t a more practical, experiential level, non-binding proposals are how shareholders in real life have dialogues with company management . . . .").

88. *See* Williams Cos. S'holder Litig., C.A. No. 2020-0707-KSJM, 2021 WL 754593, at *20 (Del. Ch. Feb. 26, 2021).

89. *See* Hoschett v. TSI Int'l Software, Ltd., 683 A.2d 43, 45–46 (Del. Ch. 1996) ("[I]t is nevertheless a not unimportant feature of corporate governance that at a noticed annual meeting a form of discourse (i.e., oral reports, questions and answers and in rare instances proxy contests) among investors and between shareholders and managers is possible."); *see also* Bayne et al., *supra* note 76, at 390 ("The requirement of a forum for discussion, deliberation, reception of comments from all sides, and exchange of ideas—in a word, the proposition that the shareholders' meeting must be a forum for free communication—is fundamental to Anglo-American jurisprudence.").

90. *See* Strine, *supra* note 18, at 1088 n.33.

91. *See* William K. Sjostrom, Jr., *The Case Against Mandatory Annual Director Elections and Shareholders' Meetings*, 74 TENN. L. REV. 199, 223 (2007). In addition, the post-*Hoschett* amendment to Section 211(b) of the DGCL permitting stockholders to act by consent in lieu of an annual meeting, and avoid any stockholder deliberations, undercuts the importance Chancellor Allen placed on the deliberative component of the annual meeting.

92. Fisch, *supra* note 86, at 480.

93. *See* Procedural Requirements and Resubmission Thresholds Under Exchange Act Rule 14a-8, 84 Fed. Reg. 66458, 66458-59 (proposed Dec. 4, 2019) (to be codified at 17 C.F.R. pt. 240) ("Because most shareholders do not attend public company shareholder meetings in person and, instead, vote their shares by the use of proxies that are solicited before the shareholder meeting takes place, the proxy solicitation process rather than the shareholder meeting itself has become the 'forum for shareholder suffrage.'").

shareholders and the management of their companies."[94] The SEC historically has taken the view that this "channel of communication" was intended to facilitate the exercise of rights that stockholders have "traditionally had under State law to appear at the meeting; to make a proposal; to speak on that proposal at appropriate length; and to have [that] proposal voted on."[95] Particularly, mandating access to management's proxy materials enabled stockholders to more effectively communicate and exercise their state law rights by providing stockholders, who would otherwise have been required to engage in an expensive proxy contest, "an inexpensive vehicle for making their views known."[96] But, for Rule 14a-8 to vindicate a state law right, such right must *actually exist* under state law, which, as explained above, is not the case in Delaware.[97]

Evolving Means of Communication. The SEC originally adopted Rule 14a-8 during a time when the proxy solicitation process and conducting proxy contests were the primary means for intra-corporate communication.[98] Since then, the SEC has acknowledged, on multiple occasions, that the Rule 14a-8 stockholder proposal process is not the only means,[99] nor perhaps the most efficient means,[100] for such

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94. Amendments to Rules on Shareholder Proposals, 62 Fed. Reg. 50682, 50682 (proposed Sept. 26, 1997).

95. *Sec. and Exch. Comm'n Proxy Rules: Hearings on H.R. 1493, H.R. 1821, and H.R. 2019 Before the H. Comm. on Interstate and Foreign Com.*, 78th Cong. 172 (1943) (statement of Ganson Purcell, Chairman, Sec. and Exch. Comm'n); *see also* Substantial Implementation, Duplication, and Resubmission of Shareholder Proposals Under Exchange Act Rule 14a-8, 87 Fed. Reg. 45052, 45053 (proposed July 27, 2022) ("The rule is intended to facilitate shareholders' right under state law to present their own proposals at a company's meeting of shareholders and the ability of all shareholders to consider and vote on such proposals.").

96. Cox & Thomas, *supra* note 10, at 1154.

97. *See* Atkins, *supra* note 6 ("The SEC recognizes that the use of non-binding, advisory shareholder proposals is essentially a federal creation. As Vice Chancellor Leo Strine . . . stated at our proxy roundtable last year, Delaware corporate law does not recognize advisory proposals."); Shareholder Proposals, 72 Fed. Reg. 43466, 43477–78 (proposed Aug. 3, 2007) (to be codified at 17 C.F.R. pt. 240) ("Several participants in the Commission's recent proxy roundtables expressed concern that by requiring the inclusion of non-binding shareholder proposals and company proxy materials, Rule 14a-8 expands rather than vindicates the framework of shareholder rights in state corporate law.").

98. *See* Mortimer M. Caplin, *Proxies, Annual Meetings and Corporate Democracy: The Lawyer's Role*, 37 VA. L. REV. 653, 668 (1951) ("Aside from embarking upon an all-out proxy fight, which usually is too costly for the average group of shareholders to be of any real utility even as a potential weapon, the shareholder today may find that his most effective means for rousing concerted shareholder action is through Rule X-14A-8 of the proxy rules.").

99. *See, e.g.*, Procedural Requirements and Resubmission Thresholds Under Exchange Act Rule 14a-8, 85 Fed. Reg. 70240, 70252 (Nov. 4, 2020) (to be codified at 17 C.F.R. pt. 240) ("[T]he rule is only one of many mechanisms for shareholders to engage with companies and their fellow shareholders and to advocate for the measures they propose."); Procedural Requirements and Resubmission Thresholds Under Exchange Act Rule 14a-8, 84 Fed. Reg. at 66466 ("Other forms of engagement, including dialogue between a shareholder and management, may sometimes accomplish a shareholder's goals without the burdens associated with including a proposal in a company's proxy statement.").

100. *See, e.g.*, Shareholder Proposals, 72 Fed. Reg. at 43475–76 ("Given the opportunities for collaborative discussion afforded by the Internet and related technological innovations, the proxy

communications to occur.[101] For example, the SEC has adopted (i) the notice and access rules, which allow stockholders to engage in their own, less costly proxy solicitations by distributing a notice of internet availability rather than a full set of proxy materials;[102] (ii) the electronic shareholder forum rules, which permit "open discussion, debate and the conduct of referenda" by exempting compliant electronic shareholder fora from the proxy solicitation rules;[103] and (iii) the universal proxy rules, which enable stockholders to engage in "vote no" campaigns promoting a cause or initiative by soliciting their own proxies against or withhold for certain company nominees while giving other stockholders the ability to vote on the rest of the company's slate.[104] With respect to withhold campaigns, where a company has not implemented majority voting in director elections, a "successful" against or withhold campaign or a precatory proposal run on an identical platform would have the same effect. That is, no effect, because neither mandates corporate action.[105] Note that a stockholder can also run a withhold campaign without soliciting proxies via exempt solicitation under Rule 14a-2(b)(1). In addition, stockholders "can now access virtually all shareholders and influence public opinion through social networks, relatively unencumbered by reporting requirements under SEC rules."[106]

Management Accountability. Another principal policy-based justification for precatory proposals is that they provide an opportunity for stockholders to "question management's judgment" and force it "to justify its policies and actions

mechanism by comparison offers limited opportunities—usually only the annual meeting—for shareholders to provide advice to management. Accordingly, the proxy system may not be the only, or the most efficient, means of shareholder communication with management on purely advisory matters.").

101. *See* Manesh, *supra* note 29, at 47–51.

102. *See* Shareholder Choice Regarding Proxy Materials, 72 Fed. Reg. 42222, 42230 (Aug 1, 2007) (to be codified at 17 C.F.R. pt. 240) ("The [notice and access] amendments are intended to provide all shareholders with the ability to choose the means by which they access proxy materials, to expand use of the Internet to ultimately lower the costs of proxy solicitations, and to improve shareholder communications.").

103. Electronic Shareholder Forums, 73 Fed. Reg. 4450, 4453 (Jan. 25, 2008) (to be codified at 17 C.F.R. pt. 240).

104. Prior to the universal proxy rules, "a party [could] solicit proxies without presenting a competing slate, such as when soliciting proxies against some or all of the registrant nominees (a 'vote no' campaign)" but could not include the names of any company nominee not targeted by the campaign. Universal Proxy, 86 Fed. Reg. 68330, 68367 (Dec. 1, 2021) (to be codified at 17 C.F.R. pt. 240). Now, "a dissident conducting a 'vote no' campaign without presenting its own slate of competing nominees" can "permit shareholders to vote *for* select registrant nominees on the dissident's card." *Id.* at 68345 (emphasis added).

105. *See* Joseph A. Grundfest, *Just Vote No: A Minimalist Strategy for Dealing with Barbarians Inside the Gates*, 45 STAN. L. REV. 857, 932 (1993) ("Boards made many of these concessions only after quiet negotiations proved fruitless and shareholders publicly announced confrontational Rule 14a-8 proposals or 'just vote no' campaigns. Thus, theory and experience suggest that symbolic action can motivate boards, although the practical significance of many of the concessions obtained to date is easily exaggerated.").

106. Seth C. Oranburg, *A Little Birdie Said: How Twitter Is Disrupting Shareholder Activism*, 20 FORDHAM J. CORP. & FIN. L. 695, 707 (2015).

and to exercise greater discipline."[107] Again, this policy justification finds some support in Delaware law. In *Hoschett*, Chancellor Allen posited that the annual meeting provides an opportunity for stockholders to engage in Q&A with management.[108] However, the right to bring a precatory proposal does not logically flow from the ability to press management via Q&A. Even without a recognized state law right to bring precatory proposals, stockholders can still engage management with Q&A about relevant topics, to elicit management's explanations and justifications. Further, there are more efficient and effective ways to monitor and promote management accountability.[109]

III. FLEXIBLE PRIVATE REGULATION

For the reasons discussed above, Delaware law does not recognize, nor do policy-based justifications mandate recognizing, an inherent stockholder right to submit precatory proposals for action at an annual meeting. This conclusion may very well elicit a resounding "*so what*?" from many practitioners and their public company clients, given the SEC's current view that, in general, precatory proposals are proper subjects for stockholder action and cannot be excluded under Rule 14a-8(i)(1). But those responding apathetically should fully consider the implications. Specifically, because Delaware law does not recognize such an inherent precatory proposal right, companies have broad flexibility to implement a bylaw provision providing for, and regulating, the submission of precatory stockholder proposals. As discussed below, the SEC has not provided formal guidance on whether a bylaw can augment Rule 14a-8 by imposing additional requirements. Even if the SEC were to determine that Rule 14a-8 occupies the field with respect to proposals submitted thereunder, this type of bylaw provision could still apply to precatory stockholder proposals submitted outside of Rule 14a-8. In addition, in a hypothetical world without Rule 14a-8, a board could decide to implement such a bylaw (and potentially include provisions granting a

107. Liebeler, *supra* note 11, at 448.

108. *See* Hoschett v. TSI Int'l Software, Ltd., 683 A.2d 43, 45–46 (Del. Ch. 1996). Of course, directors are not required to answer every question posed at the meeting, such as iterative questions posed by a disruptive stockholder. *See* Loudon v. Archer-Daniels-Midland Co., No. 14638, 1996 WL 74730, at *8 (Del. Ch. Feb. 20, 1996) ("The plaintiffs have not shown that the directors have a specific legal duty to answer every question put to them by shareholders at an annual meeting, though courtesy and prudence indicate that they should do that where possible."), *aff'd*, 700 A.2d 135 (Del. 1997).

109. *See* Liebeler, *supra* note 11, at 449 ("State corporation codes impose fiduciary duties on management, and stockholder derivative suits are available to discipline those managers who neglect these duties. In addition, market forces are an obvious constraint on nonowner managers of firms with widely dispersed ownership. The judgments, policies, and actions of these managers are monitored and evaluated in several marketplaces: the market for corporate control, the product market, the job market, and the capital market. Competition in these markets disciplines greedy or inefficient managers. There is no reason to expect rule 14a-8 to be a better disciplinary device.").

limited proxy access right) either voluntarily or in response to pressure from stockholders or proxy advisory firms.[110]

Private Ordering Generally. In terms of flexibility, the Delaware courts have observed that the "DGCL is broadly enabling and offers 'immense freedom for businesses to adopt the most appropriate terms for the organization, finance and governance of their enterprise.'"[111] In furtherance of this "immense freedom," many corporations engage in private ordering to regulate corporate affairs and deviate from default rules via charter and bylaw provisions. But corporations generally have greater flexibility to privately order in the charter than they do in the bylaws.[112] For example, any limitation or restriction on the powers, preferences or rights of a class or series of stock must be set forth (or incorporated by reference) in the charter or a certificate of designation.[113]

Private Ordering by Bylaw. Section 109(b) of the DGCL permits a corporation's bylaws to include provisions that (i) are not inconsistent with law or the charter and (ii) relate to "the business of the corporation, the conduct of its affairs, and its rights or powers or the rights or powers of its stockholders, directors, officers or employees."[114] In assessing whether a bylaw is valid (i.e., authorized by Section 109(a)), the Delaware courts begin from the vantage point that all bylaws are "presumed to be valid" and, to the extent possible, "must be interpreted 'in a manner consistent with law.'"[115] As Section 109(b) suggests, to rebut this presumption, a stockholder must show that the bylaw is either inconsistent with the DGCL or the charter or is "otherwise prohibited by law."[116]

Facial Validity of Precatory Proposal Bylaws. Professor Manesh has argued in favor of the facial validity of what he termed "proposal provisions" in bylaws that impose limitations on a stockholder's eligibility to submit precatory proposals (e.g., ownership thresholds and holding requirements) and/or empower

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110. As noted above, a board may subject the corporation to a regime requiring certain precatory proposals to be submitted for stockholder approval if it believes doing so benefits the company. *See supra* note 69. For the same reasons, a board may likewise conclude that affording stockholders a means of communication through precatory proposals benefits the company and, pursuant to its managerial authority under Section 141(a) of the DGCL, adopt a bylaw providing stockholders such an ability.

111. Kellner v. AIM ImmunoTech Inc., 320 A.3d 239, 257 (Del. 2024) (quoting Salzberg v. Sciabacucchi, 227 A.3d 102, 116 (Del. 2020)).

112. *See, e.g.*, Choupak v. Rivkin, C.A. No. 7000-VCL, 2015 WL 1589610, at *19 n.3 (Del. Ch. Apr. 6, 2015) (observing the distinction "between bylaws that validly establish procedures to regulate the exercise of corporate rights or authority, on the one hand, and those that impose substantive limitations on the exercise of corporate rights or authority, on the other" and noting that a bylaw that "falls on the procedural side of the divide . . . does not constitute a substantive 'qualification, limitation, or restriction' on the right . . . that would need to be included in the charter"), *aff'd*, No. 292, 2015, 2015 WL 8483702 (Del. Dec. 4, 2015).

113. DEL. CODE ANN. tit. 8 §§ 102(a)(4), 151(a).

114. *Id.* § 109(b).

115. *Kellner*, 320 A.3d at 258 (quoting Frantz Mfg. Co. v. EAC Indus., 201 A.2d 401, 407 (Del. 1985)).

116. *Id.* at 262.

the board to exclude the proposal if it determines that the proposal falls under a substantive basis for exclusion (e.g., bases like those in Rule 14a-8(i)).[117] Although he posited that stockholders have a right to submit precatory proposals, he noted that "the statutory text of the DGCL makes no reference to" a right to submit precatory proposals and, "to the extent that right is recognized by case law, judicial references to it are scant and fleeting."[118] Given the lack of statutory or meaningful case law support, he argued that a bylaw "restricting" this right would be facially valid.[119] But this characterization effectively creates a category of "quasi-right" that may be restricted by bylaw rather than charter provision. However, to the extent stock ownership confers the "right" to submit precatory proposals for action at an annual meeting (especially if such a right flows from the right to vote),[120] then there is some uncertainty regarding the extent to which a bylaw provision can purport to regulate it, beyond procedural requirements (such as advance notice).[121] To the contrary, as explained above, the right (or even quasi-right) of stockholders to submit precatory proposals does not exist under Delaware law. Thus, this type of bylaw provisions is better characterized as granting a privilege, upon which conditions of use may permissibly be imposed, rather than as "restricting" (non-existent) precatory stockholder proposal rights.[122]

Regulating Zero Slate Campaigns. These bylaws can help regulate so-called "zero slate campaigns," in which a stockholder solicits proxies in favor of one or more proposals without nominating its own candidates. Historically, the majority of stockholder proposals were submitted pursuant to Rule 14a-8. This is likely due, at least in part, to the fact that other stockholders were more likely to return the company's proxy card. If, however, the proponent stockholder mounted either

117. Manesh, *supra* note 29, at 23–26.

118. *Id.* at 29.

119. *Id.* at 28.

120. To the extent the right to submit precatory proposals is "[s]ubsumed within that fundamental right to vote," Sternlicht v. Hernandez, No. 2023-0477, 2023 WL 3991642, at *13 (Del. Ch. June 14, 2023), then Section 212(a) could be read to require any non-procedural restriction thereon to be in the charter. DEL. CODE ANN. tit. 8 § 212(a) ("Unless otherwise provided in the certificate of incorporation and subject to § 213 of this title, each stockholder shall be entitled to 1 vote for each share of capital stock held by such stockholder.").

121. Advance notice bylaws impose procedural requirements that a stockholder must satisfy to present nominations or other proper business at a stockholder meeting. Delaware courts have consistently upheld these provisions as valid procedural regulations on the exercise of a stockholder's right, rather than as substantive restrictions that must be included in the charter. *See Kellner*, 320 A.3d at 257–58. A stockholder—even one holding a single share—who complies with these procedural requirements may present nominations or business at the meeting. Likewise, Delaware courts have characterized forum selection provisions as "'process-oriented,'" rather than substantive, because they "'regulate *where* stockholders may file suit, not *whether* the stockholder may file suit or the kind of remedy that the stockholder may obtain . . . .'" Salzberg v. Sciabacucchi, 227 A.3d 102, 136 (Del. 2020) (quoting Boilermakers Local 154 Ret. Fund v. Chevron Corp., 73 A.3d 934, 951–52 (Del. Ch. 2013)).

122. *Cf.* Lisa M. Fairfax, *The Future of Shareholder Democracy*, 84 IND. L.J. 1259, 1270 (2009) (describing provision granting stockholder proxy access for nominations, for which no inherent stockholder right exists, as a "privilege").

a full or short slate of directors, in addition to submitting a precatory proposal, it was less certain that stockholders would return the company's proxy card if it did not include the precatory proposal. One byproduct of the universal proxy rules is that they permit a stockholder soliciting in favor of a proposal to include some or all of the company's nominees on its proxy card without having to nominate its own candidates.[123] Practitioners have observed that this (i) allows a proponent to end-run some of the Rule 14a-8 requirements (such as only submitting one proposal) and (ii) makes it more likely that other stockholders will return the proponent's proxy card.[124] If the board does not believe the stockholder's proposal is in the best interests of all stockholders, then, because of the restrictions on using discretionary authority under Rule 14a-4, the company essentially could be forced to include the proposal on its proxy card.[125] The AFL-CIO and United Mine Workers of America used this tactic to effectively force Warrior Met Coal to include five proposals in its 2024 annual meeting proxy materials.[126] A precatory proposal bylaw could ensure, among other things,

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123. *See* 86 Fed. Reg. 68330, 68345 (Dec. 1, 2021) ("As a practical matter and as noted by commenters, [the revised bona fide nominee rule] will also permit a dissident soliciting in favor of a proposal (but not its own director nominees) to include some or all of the registrant's nominees on its proxy card. It further allows a dissident conducting a 'vote no' campaign without presenting its own slate of competing nominees to permit shareholders to vote for select registrant nominees on the dissident's card.").

124. *See, e.g.*, *2024 Shareholder Proposal Highlights*, COOLEY (Aug. 6, 2024), https://www.cooley.com/news/-insight/2024/2024-08-06-2024-shareholder-proposal-highlights [https://perma.cc/4XGF-4Y9N].

125. Rule 14a-4 generally prohibits a company from exercising discretionary authority on a stockholder proposal if the proponent gave timely notice of its intent to solicit sufficient proxies (a "Rule 14a-4 Proposal"). If the company omits the Rule 14a-4 Proposal from its proxy card, then neither the company's proxyholder(s) nor stockholders returning its card would be able to vote on it. *See* 17 C.F.R. § 240.14a-4(c)(2) (2025).

Under Delaware law, the default stockholder voting standard for stockholder proposals is the affirmative vote of a majority of the voting power of the shares present in person or by proxy and entitled to vote thereon (i.e., the "FOR" votes exceed the sum of "AGAINST" votes and abstentions). *See* DEL. CODE ANN. tit. 8 § 216(2). Under this standard, there is a risk that the shares underlying the company's returned proxy cards would not be considered "voting power present" or "entitled to vote thereon." Based on the above discretionary authority limitation, any proxy returned to the company that does not cover all proposals could constitute a limited proxy (to vote on specific matters), which the Delaware Supreme Court has held "cannot be considered as part of the voting power present with respect to" a proposal not covered by the proxy. Berlin v. Emerald Partners, 552 A.2d 482, 493 (Del. 1989).

Many companies have opted into a "votes cast" standard, which requires a proposal to receive more "FOR" than "AGAINST" votes. Under a "votes cast" standard, the only votes that will be cast on the proposal would be pursuant to proxy authority given by the stockholder's proxy card (which would recommend voting "FOR") or cast by the handful of stockholders who attend the meeting and vote.

Under either scenario, if the company's proxy card does not include the Rule 14a-4 Proposal, such proposal would have an increased likelihood of success.

126. *See* John Jenkins, *Shareholder Proposals: Proponent Artfully Dodges Rule 14a-8's One Proposal Limit*, THECORPORATECOUNSEL.NET (Mar. 13, 2024), https://www.thecorporatecounsel.net/blog/2024/03/shareholder-proposals-proponent-artfully-dodges-rule-14a-8s-one-proposal-limit.html [https://perma.cc/6JVE-M8CX].

that proponent stockholders pursuing this tactic have sufficient "skin in the game" (i.e., alignment of interests with stockholders generally) and do not attempt to inundate the company with a large number of—potentially special interest-oriented—proposals.[127]

Interaction with Rule 14a-8. When I first drafted this article, I posited that, so long as Rule 14a-8 remained in effect, companies likely would not seek to exclude *all* precatory proposals under Rule 14a-8(i)(1). This statement was based on the SEC's historic view that, generally, proposals "cast as recommendations or requests that the board of directors take specified action are proper under state law."[128] Recent comments from Chairman Atkins suggest the SEC may be willing to revisit that conclusion, at least with respect to environmental and social proposals.[129] How boards weigh the legal and practical risks of seeking exclusion on that basis presents a separate set of considerations and likely warrants analysis in its own right. But even under the SEC's traditional view, companies can consider adopting a precatory proposal bylaw as an additional means of regulating precatory proposals—specifically, regulating the ability to bring non-Rule 14a-8 precatory proposals, rather regulating proxy access. Although the

127. *Cf.* Daniel M. Gallagher, U.S. Sec. & Exch. Comm'r, Activism, Short-Termism, and the SEC: Remarks at the 21st Annual Stanford Directors' College (June 23, 2015), https://www.sec.gov/newsroom/speeches-statements/activism-short-termism-sec [https://perma.cc/C56V-7XVK] ("I stated last year that the SEC's shareholder proposal rule, Rule 14a-8, is being abused by special interest groups to advance idiosyncratic goals that may directly conflict with the interests of most shareholders. A proponent, often with little to no skin in the game, can force a company to include in its proxy a proposal, which can touch on any of a wide range of issues, including immaterial social and political matters.").

128. 17 C.F.R. § 240.14a-8(i)(1) n.1 (2025); *see also* Strine, *State Law Roundtable*, *supra* note 57, at 32–33 ("In terms of why [doesn't the SEC] get the argument [that Delaware law does not authorize precatory proposals], you all made it up."). *But see* Paul S. Atkins, U.S. Sec. & Exch. Chairman, Keynote Address at the John L. Weinberg Center for Corporate Governance's 25th Anniversary Gala (Oct. 9, 2025), https://www.sec.gov/newsroom/speeches-statements/atkins-10092025-keynote-address-john-l-weinberg-center-corporate-governances-25th-anniversary-gala [https://perma.cc/G4AJ-9AP8] ("If a company makes this argument seeks the SEC staff's views, and the company obtains an opinion of counsel that the proposal is not a 'proper subject' for shareholder action under Delaware law, this argument should prevail, at least for that company. I have high confidence that the SEC staff will honor this position.").

129. Atkins, *supra* note 128. At the John L. Weinberg Center for Corporate Governance's 25th Anniversary Gala, Chairman Paul Atkins argued that stockholder meetings must be de-politicized and advocated for a return of Rule 14a-8 to its original purpose: to vindicate stockholder participation rights conferred by state law—not to permit stockholders "to obtain the consensus of other stockholders with respect to matters which are of a general political, social or economic nature." *Id.*; *see also* 11 Fed. Reg. 10,995 (Sept. 27, 1946); *Sec. and Exch. Comm'n Proxy Rules: Hearings on H.R. 1493, H.R. 1821, and H.R. 2019 Before the H. Comm. on Interstate and Foreign Com.,* 78th Cong. 172 (1943) ("[T]he rights that we are endeavoring to assure to the stockholders [via Rule 14a-8] are those rights that he has traditionally had under State law to appear at the meeting; to make a proposal; to speak on that proposal at appropriate length; and to have his proposal voted on."). Relying in part on an earlier version of this article, Chairman Atkins further noted that if Delaware law does not confer a right to vote on precatory proposals, then such proposals may be excludable under Rule 14a-8(i)(1), and that this argument "should prevail" where supported by a legal opinion. *See* Atkins, *supra* note 128.

SEC has not taken a formal position, SEC Chairman Paul Atkins and SEC Commissioner Mark Uyeda have each expressed the view that a company's governing documents can impose additional limits and requirements on stockholder proposals, and allow companies to exclude non-compliant proposals, without running afoul of Rule 14a-8.[130] Absent formal guidance, *Transamerica* could be read as calling into question whether a bylaw can validly impose conditions and requirements on precatory proposals in addition to those imposed by Rule 14a-8. However, multiple scholars have characterized that portion of the opinion as *dicta*.[131] In addition, Professor Manesh has persuasively argued that principles of corporate federalism require a narrow reading of *Transamerica*: "a bylaw provision that is *invalid under state law* cannot be used to circumvent [Rule 14a-8]," such that companies "are, and always have been, free to adopt" precatory proposal bylaws.[132]

Enforceability of Precatory Proposal Bylaws. With these impacts in mind, we now turn to enforceability. Even facially valid bylaws must "be reasonable in their application."[133] That is, if the bylaws provide stockholders the ability to submit precatory proposals (especially if such provisions purport to apply to Rule 14a-8 proposals), then the enforcement of the provisions must be reasonable as applied to a specific situation.[134] When a court applies a reasonableness analysis, it generally compares the benefits of the ends sought to be achieved with the burdens imposed by the means to achieve it.[135] The goal of a precatory proposal bylaw would be to provide additional structure around the submission of precatory stockholder proposals, while giving stockholders an additional

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130. Atkins, *supra* note 6 ("[M]ost state corporation laws provide that a corporation's charter or bylaws can specify the types of binding or non-binding proposals that are permitted to be brought before the shareholders for a vote at an annual or special meeting. . . . Thus, to the extent a company adopts a proper bylaw under state law that limits or prohibits the consideration of a non-binding proposal at a shareholder meeting, those types of proposals may be excluded from the company's proxy statement [under Rule 14a-8(i)(1)]."); Uyeda, *supra* note 6 ("[Rule 14a-8] cannot 'facilitate' [state law] rights if it simply replaces them. To reflect the rule's philosophy and intent, a company should have the right to adopt, in its governing documents, requirements for shareholder proposals that differ from those set forth in rule 14a-8."); Atkins, *supra* note 128 ("I agree with [Commissioner Uyeda's] view that '[R]ule 14a-8's procedural bases for exclusion . . . should be viewed as default standards that apply only if companies decline to establish their own standards in their governing documents.'") (quoting Uyeda, *supra* note 6).

131. *See, e.g.*, Manesh, *supra* note 29, at 42–43; Liebeler, *supra* note 11, at 461.

132. Manesh, *supra* note 29, at 44 (emphasis added).

133. Kellner v. AIM ImmunoTech Inc., 320 A.3d 239, 259 (Del. 2024) (quoting Frantz Mfg. Co. v. EAC Indus., 201 A.2d 401, 407 (Del. 1985)).

134. *Cf.* Kyle A. Pinder, *Forum Selection Provisions: Choose Your Own Adventure*, 32 CORP. GOVERNANCE ADVISOR 1, 5 (2024) ("The Delaware courts have held that an 'as applied' challenge [to the enforceability] of a bylaw or charter provision 'should be addressed when the issue is actually ripe.'" (quoting Boilermakers Local 154 Retirement Fund v. Chevron Corp., 73 A.3d 934, 952 n.80 (Del. Ch. 2013))).

135. *Cf. In re* AMC Ent. Holdings, Inc. S'holder Litig., No. 2023-0215-MTZ, 2023 WL 5165606, at *29 (Del. Ch. Aug. 11, 2023) (discussing "fit between means and ends" under enhanced scrutiny), *aff'd*, 319 A.3d 310 (Del. 2024), *cert. denied sub nom.* Izzo v. AMC Ent. Holdings, Inc., 145 S. Ct. 285 (2024).

channel to influence corporate affairs. Among the considerations motivating that goal could be (i) preventing a stockholder from commandeering the annual meeting to further special interests, (ii) ensuring a single proponent cannot end-run the Rule 14a-8 "one proposal" rule and overload stockholders with numerous proposals, and (iii) limiting the costs associated with responding to such proposals (either via the Rule 14a-8 process or by competing solicitation). Regulators and scholars alike have discussed the costs and potential adverse impacts that precatory proposals can cause companies to endure,[136] so this article will leave those considerations to the experts.

Potential Features of a Bylaw. The potential features of a precatory proposal bylaw can be grouped into three categories: procedural requirements, substantive requirements, and eligibility requirements.

Procedural Requirements. Procedural requirements would regulate the procedure of making and ultimately submitting a precatory proposal for stockholder action at the meeting. A procedural requirement could, for example, impose requirements regarding the timing and content of precatory proposal submissions. Almost all public companies have advance notice bylaws that require a stockholder intending to submit business other than nominations to deliver a notice that includes specified information a certain amount of time prior to the annual meeting. These provisions are generally drafted to apply to business proposals other than those submitted pursuant to Rule 14a-8.[137] The Delaware courts have consistently upheld the validity of advance notice bylaws, recognizing that they serve the proper purpose of helping promote an orderly meeting process.[138] There are two primary adjustments that can be made to the current advance notice bylaws when implementing a precatory proposal bylaw. The first would be to eliminate the Rule 14a-8 proposal carve out and have the advance notice procedural requirements already in place apply to all stockholder-proposed business. The second would be to modify the business proposal submission deadline to match the Rule 14a-8 submission deadline, at least for precatory proposals. Most advance notice bylaws require a stockholder to deliver a notice at least 90 days before the anniversary of the preceding year's annual meeting, whereas Rule 14a-8 requires a stockholder to submit a proposal "not less than 120 calendar days before the date of the company's proxy statement released to shareholders in connection with the previous year's annual meeting."[139]

Substantive Requirements. Substantive requirements would regulate *which precatory proposals* are eligible for submission. For example, these requirements could replicate or slightly modify the substantive bases for exclusion under

136. *See, e.g.*, Atkins, *supra* note 6 ("[Precatory] proposals often consume a significant amount of management time and attention."); Liebeler, *supra* note 11, at 454–56.

137. *See* Manesh, *supra* note 29, at 23 ("[A]dvance notice bylaws target only those shareholder proposals for which the proponent is soliciting their own proxies . . . .").

138. *E.g.*, *Kellner*, 320 A.3d at 257–58.

139. 17 C.F.R. § 240.14a-8(e)(2) (1998).

Rule 14a-8, but as Professor Manesh suggested, make the board (rather than the SEC) the arbiter of whether the proposal runs afoul of any such substantive basis. However, a board may not want to impose on itself this responsibility, due to the risk that any determination could subject the directors to litigation. Consider Rule 14a-8(i)(7), which permits a corporation to exclude from its proxy materials a proposal that relates to the corporation's ordinary business. If a stockholder were to challenge a board's rejection of a precatory proposal based on an "ordinary business" exclusion, then a court could be placed in the unenviable position of having to draw conclusions regarding the scope of the corporation's "ordinary business."[140] These considerations may push some companies to favor the more black-and-white eligibility requirements discussed below.

Eligibility Requirements. Eligibility requirements would regulate *which stockholders* are eligible to submit precatory proposals. Specifically, a company may believe that the corporate expenditure that often results from a stockholder submitting a precatory proposal should be incurred only if the proponent has sufficient skin in the game. Among other things, this would help ensure that the proponent's interests are ultimately aligned with those of the stockholders generally. Eligibility requirements could include, among other things, (i) an ownership threshold, requiring a stockholder to own at least a specified amount or value of stock, (ii) a holding period, requiring a stockholder to own shares sufficient to satisfy the ownership threshold for a specified period of time prior to submission, as well as through the date of the applicable meeting, and (iii) a provision permitting up to a certain number of stockholders to aggregate their ownership for purposes of satisfying the ownership threshold and holding period.

Scaled-Requirements. There will not be a one-size-fits-all precatory proposal bylaw for companies to adopt.[141] Companies will have different priorities based on, among other factors, the company's size, its business, and its stockholder base. For the reason noted above, some directors might not want to be in the business of applying subjective substantive requirements to proposals, whereas others might prefer to create a forum for corporate democracy no matter how few shares a stockholder owns. Further, some companies might want to take a hybrid approach, with tiered eligibility and substantive requirements that are less restrictive for stockholders with higher ownership amounts or who have a longer ownership tenure.

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140. *Cf.* 3A WILLIAM MEADE FLETCHER, FLETCHER CYCLOPEDIA OF THE LAW OF CORPORATIONS § 1037 (perm. ed., rev. vol. 2025) ("[J]udges . . . lack the information and skill necessary to evaluate business judgments.").

141. *Cf.* Matthew D. Cain et al., *How Corporate Governance Is Made: The Case of the Golden Leash*, 164 U. PA. L. REV. 649, 697 (2016) ("Presently, governance intermediaries offer market-wide pronouncements. . . . Yet our findings suggest that one size does not fit all when it comes to corporate governance.").

IV. OPPORTUNITY FOR STATE LEGISLATION

For the reasons discussed above, the Delaware General Assembly should not be required to amend the DGCL to authorize bylaw provisions providing for, and regulating, the submission of precatory proposals. That said, both corporate constituents and transactional planners would benefit if the General Assembly were to adopt a clarifying amendment confirming the validity of such a provision. Specifically, a confirmatory amendment would, among other things, (i) resolve lingering uncertainty, (ii) reduce the risk of potentially costly strike suit litigation, and (iii) provide an opportunity for the legislature to put in place reasonable parameters to guide the drafting of such a provision.

Resolving Uncertainty. As noted, there remains disagreement—which in this author's view is misplaced—among Delaware practitioners about whether stockholders have an inherent right to submit precatory proposals. Such ambiguity is not unprecedented in Delaware law. In 2009, the General Assembly adopted Section 112 of the DGCL. Section 112 expressly authorized bylaw provisions that provide for, and regulate, proxy access nominations. Scholars have noted a lack of consensus regarding whether the adoption of Section 112 conferred a new right or merely confirmed stockholders' pre-existing authority to adopt proxy access bylaws.[142] Similar uncertainty surrounds precatory proposal bylaws. In the absence of definitive guidance, many corporations—and especially their legal advisors—may hesitate to adopt such provisions. This hesitation is rational, given the potential "first-mover disadvantage" that has been observed in the area of corporate governance: early adopters bear outsized costs and litigation risks relative to later adopting corporations.[143]

Reducing Litigation Risk. Public corporations are no strangers to representative stockholder litigation challenging the facial validity of novel charter or bylaw provisions. For example, in *Sciabacucchi v. Salzberg*, plaintiffs attacked the validity of federal forum selection charter provisions.[144] Similarly,

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142. *See, e.g.*, D. Gordon Smith et al., *Private Ordering with Shareholder Bylaws*, 80 FORDHAM L. REV. 125, 158 (2011) ("Commentators have described Delaware's adoption of sections 112 and 113 as both 'the most significant change [of the year's proposed corporate law updates]' and, conversely, as merely 'purport[ing] to confer rights that already existed under Delaware state law.'" (alterations in original) (quoting Joseph A. Giannone, *Proposed Delaware Law Changes Expand Proxy Access*, REUTERS, (Feb. 27, 2009) http://www.reuters.com/article-/2009/02/27/us-corporategovernance-delaware-smbiz-idUSTRE51Q5RT20090227)); Lisa M. Fairfax, *Delaware's New Proxy Access: Much Ado About Nothing?*, 11 TRANSACTIONS: TENN. J. BUS. L. 87, 108 (2009).

143. Scott Hirst, *Social Responsibility Resolutions*, 43 J. CORP. L. 217, 241 (2018) ("There may be 'first-mover' disadvantages whereby particular companies that adopt the rule before other companies suffer disproportional costs.").

144. Vice Chancellor Laster held that such provisions were invalid under Delaware law and awarded $3 million in attorneys' fees to the plaintiff, reasoning that "Delaware courts grant substantial awards for precedent-setting cases." Sciabacucchi v. Salzberg, No. 2017-0931-JTL, 2019 WL 2913272, at *5 (Del. Ch. July 8, 2019), *vacated*, No. 2017-0931-JTL, 2020 WL 1985048 (Del. Ch. Apr. 24, 2020). Although the Delaware Supreme Court ultimately upheld the facial validity of the provisions—despite the absence of express authorization in the DGCL—the defendant corporations were still required to litigate cross motions for summary judgment, a fee award dispute, and an appeal, incurring substantial expense and time.

following the Court of Chancery's decision in *Kellner v. AIM ImmunoTech, Inc.*,[145] many public corporations were targeted by complaints and litigation demands challenging certain advance notice bylaw provisions.[146] Without express statutory authorization, precatory proposal bylaws may invite similar challenges. The risk to "first movers" is underscored by Vice Chancellor Laster's observation that "Delaware courts grant substantial awards for precedent-setting cases, then materially lesser fees for follow-on cases."[147] A DGCL amendment confirming the validity of precatory proposal bylaws would substantially mitigate litigation risk and disincentivize opportunistic facial challenges that may impose significant costs.

Imposing Parameters. If the General Assembly decides to pursue a DGCL amendment, it could consider two approaches, both consistent with Delaware's enabling tradition.[148]

Proxy Access Approach. The first would resemble Section 112, offering a non-exhaustive list of terms—such as ownership thresholds, holding requirements, and procedural mechanics—without prescribing specific limits. This approach would allow corporate constituents to tailor bylaw provisions to address their specific circumstances and needs, while also giving market participants—including corporations, institutional investors and proxy advisory firms—an opportunity to develop consensus over time regarding best practices.[149]

Statutory Maximum Approach. The second approach would be to go further by setting express outer bounds—such as a maximum ownership threshold (e.g., 1%) or maximum holding requirement (e.g., one year).[150] Imposing outer

145. 307 A.3d 998, 1005 (Del. Ch. 2023), *aff'd in part*, *rev'd in part*, 320 A.3d 239 (Del. 2024).

146. *See, e.g.*, Laura Hughes McNally et al., *Plaintiffs' Firms Extracting Fees Based on Newly Invalidated Advance Notice Bylaw Provisions*, MORGAN LEWIS (Mar. 6, 2024), https://www.morganlewis.com/pubs/2024/03/plaintiffs-firms-extracting-fees-based-on-newly-invalidated-advance-notice-bylaw-provisions [https://perma.cc/9UZ9-NQZW]. In response, some companies decided to amend their bylaws to "moot" the challenge and paid a mootness fee rather than incur the likely greater cost of litigating to a decision. Despite the lack of success of such cases to date—given the Delaware Supreme Court's decision in the *Kellner* appeal—corporations that chose to defend rather than moot continue to incur significant costs, both in terms of legal fees and time. *See, e.g.*, Siegel v. Morse, No. 2024-0628-NAC, 2025 WL 1101624 (Del. Ch. Apr. 14, 2025).

147. *Sciabacucchi*, 2019 WL 2913272, at *5.

148. *Cf.* Salzberg v. Sciabacucchi, 227 A.3d 102, 116 (Del. 2020) ("[T]he DGCL allows immense freedom for businesses to adopt the most appropriate terms for the organization, finance, and governance of their enterprise.").

149. *Cf.* Matthew J. Mallow & Jasmin Sethi, *Engagement: The Missing Middle Approach in the Bebchuk-Strine Debate,* 12 N.Y.U. J.L. & BUS. 385, 404 (2016) ("[W]e believe that . . . competition will help the market place determine what level of proxy access creates accountability of the board and facilitates engagement with shareholders, thereby protecting value for shareholders."). Mark R. Kubisch, *Constitutionally Suspect Interventions in the Shareholder Proposals Forum*, 59 WAKE FOREST L. REV. 1155, 1216–17 (2024) ("[T]he Supreme Court's First Amendment jurisprudence may offer a path for the market—and the dominant actors within it—to decide the future of shareholder proposals.").

150. Although the Delaware General Assembly does not often legislate with specific numerical thresholds, it has done so in the past. For example, in 2016, the General Assembly amended Section 262 of the DGCL to reduce the costs associated with nuisance appraisal litigation. Under amended

bounds limits would ensure that any precatory proposal bylaw provides stockholders a realistic opportunity to exercise the granted ability. Although this approach would still allow company-specific customization and market consensus building, it poses a potential risk that the statutory outer limits may effectively set the market.

Market Consensus Case Study. Proxy access bylaws provide a recent example of market participants reaching consensus on the principal terms of a bylaw that grants stockholders an additional channel to influence corporate affairs.

Vacated Rule 14a-11. In 2010, the SEC adopted Rule 14a-11, which required a corporation to include in its proxy materials nominees (up to 25% of the board) submitted by a stockholder or group who owned at least 3% of the company's stock continuously for three years.[151] This rule was later vacated in 2011, after the DC Circuit held that the SEC violated the Administrative Procedures Act in promulgating it.[152]

Private Ordering Begins. To fill the resulting void, the New York City comptroller launched the "Boardroom Accountability Project," a campaign designed to promote proxy access.[153] By the end of 2015, 125 companies had implemented proxy access bylaws as a result of this initiative, as well as corporations adopting proxy access provisions—either proactively or in response to Rule 14a-8 proposals modeled on vacated Rule 14a-11.[154]

Consensus Reached. Corporate responses initially varied. Some companies rejected proxy access "on principle," while others expressed willingness to adopt it, sometimes opting for a 5% ownership threshold instead of 3%.[155] The early debate focused on two issues: (1) "whether to have proxy

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Section 262, the Court of Chancery is required to dismiss an appraisal proceeding involving publicly traded stock unless the number of shares entitled to appraisal exceeds 1% of the outstanding shares of the relevant class or series, or the merger consideration for such shares exceeds $1 million. *See* JEFFREY R. WOLTERS & JAMES D. HONAKER, ANALYSIS OF THE 2016 AMENDMENTS TO THE DELAWARE GENERAL CORPORATION LAW 5 (2016) ("[T]he 2016 amendments imposed a ban on de minimis appraisal claims that might otherwise impose disproportionate defense costs on corporations."), https://www.morris-nichols.com/assets/htmldocuments/BylinedArticles/Delaware-Analysis-2016_final.pdf.

151. *See generally* Facilitating Shareholder Director Nominations, 75 Fed. Reg. 56,668, 56,670 (Sept. 16, 2010) (demonstrating the SEC's lead-up to Rule 14a-11 through its 2009 proposal, which outlined the key components—long-term ownership and significant holdings—that would later be codified in the final 2010 rule).

152. *See generally* Bus. Roundtable v. SEC, 647 F.3d 1144 (D.C. Cir. 2011) (vacating SEC rule after finding agency violated the APA in failing to adequately assess the rule's economic effects).

153. Marc S. Gerber, *US Corporate Governance: Have We Crossed the Rubicon?*, SKADDEN: 2016 INSIGHTS (Jan. 2016), https://www.skadden.com/media/files/publications/2016/01/uscorporategovernancehave-wecrossedtherubicon.pdf [https://perma.cc/F53X-BFRC].

154. *Id.* As noted above, the submission of precatory proposals is only one of many means by which stockholders can engage in intra-corporate communication to promote governance reform.

155. *See* S. Burcu Avci et al., *Do Independent Directors Curb Financial Fraud? The Evidence and Proposals for Further Reform*, 93 IND. L.J. 757, 792 (2018) ("Companies' responses varied from rejecting the idea on principle, to expressing openness to adopting or agreeing to adopt the rule, sometimes requiring a 5% ownership threshold instead of 3%.").

access at all" and (2) "if so, whether the appropriate ownership threshold was 3 percent or 5 percent."[156] Many observers correctly predicted that the marketplace would ultimately determine the optimal parameters.[157] Over time, most proxy access bylaws converged on a standard set of principal terms that are similar, but not identical, to vacated Rule 14a-11: "3% for 3 years for up to 20% of the board (at least 2 directors) with a nominating group size limit of 20."[158] Although these standardized principal terms reflect market consensus, company-specific tailoring still occurs with respect to other terms of a proxy access bylaw.[159]

CONCLUSION

Although Rule 14a-8 permits stockholders to submit precatory proposals for inclusion in proxy materials, Delaware law does not independently recognize an inherent right of stockholders to present such proposals for stockholder action at an annual meeting. This distinction has meaningful implications—it confirms that the ability to submit precatory proposals is not a fundamental stockholder right under Delaware law, but rather a construct rooted in federal securities regulation. Accordingly, as a matter of state law, Delaware corporations may validly adopt reasonable bylaw provisions that provide for, and regulate, a stockholder's ability to submit precatory proposals for stockholder action at an annual meeting, including by imposing conditions and limitations tailored to the corporation's specific governance needs.

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156. Gerber, *supra* note 153. At the time, practitioners noted that stockholders did "not possess uniform views" on either issue. *Id.*

157. *See, e.g.*, Mallow & Sethi, *supra* note 149, at 404 ("While we do not know what the appropriate level of proxy access is to achieve optimal corporate governance, we believe that . . . competition will help the market place determine what level of proxy access creates accountability of the board and facilitates engagement with shareholders, thereby protecting value for shareholders.").

158. Holly J. Gregory et al., *Proxy Access: A Five-Year Review*, HARV. L. SCH. F. ON CORP. GOVERNANCE (Feb. 4, 2020), https://corpgov.law.harvard.edu/2020/02/04/proxy-access-a-five-year-review [https://perma.cc/69AM-4M8L]. The ownership threshold and holding period mirror vacated Rule 14a-11, but the "market" provisions include a lower maximum number of proxy access nominees (up to 20% of the board compared to 25% under Rule 14a-11) and limit the size of a nominating group (no more than 20 members compared to no limit under Rule 14a-11). *Id.*

159. Gregory E. Ostling, *U.S. Activism*, 33 INT'L L. PRACTICUM 73, 75 (2020) ("The proxy access 'market' has now appeared to coalesce around '3/3/20/20' headline formulations . . . . Treatment of other terms varies by company.").

NAVIGATING THE EU'S CORPORATE SUSTAINABILITY DUE DILIGENCE DIRECTIVE: STRATEGIC IMPLICATIONS FOR US COMPANIES

Silvia Ciacchi[*], *Michael Faure*[**], *Sharon Oded*[***]

ABSTRACT

The European Union's ("EU") Corporate Sustainability Due Diligence Directive ("CSDDD" or the "Directive") introduces new human rights and environmental obligations that reshape global corporate governance. This paper explores its impact on US companies, with a particular focus on compliance strategies under both direct and indirect applicability. It contrasts tactical compliance, which emphasizes risk mitigation while meeting minimum legal requirements, against strategic compliance, where companies use sustainability to gain a competitive edge in the market.

This paper highlights how varying enforcement levels across EU Member States may incentivize companies to "forum shop" or choose jurisdictions with more relaxed enforcement. It also explores the concept of "loyalty" in compliance, with companies adopting either minimal or substantive strategies based on enforcement dynamics.

This paper concludes with the argument that US companies adopting a strategic compliance approach are better positioned to lead in global sustainability, build stakeholder trust, and drive innovation.

Key words: CSDDD, compliance, corporate governance, ESG, sustainability due diligence, US companies, US-EU trade relations, CSDDD enforcement, liability risks, tactical compliance, strategic compliance.

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INTRODUCTION

On July 25, 2024, the European Union's (EU) Corporate Sustainability Due Diligence Directive (CSDDD or the "Directive") entered into force,[1] marking a pivotal step in Europe's efforts to embed environmental, social, and governance ("ESG") principles into corporate practices.[2] A central pillar of the European Green Deal, the CSDDD reflects the EU's ambition to lead the global transition toward sustainable business conduct.[3] By imposing binding obligations on companies to identify, prevent, mitigate, and remediate adverse human rights and environmental impacts, the Directive aims to establish uniform standards for corporate accountability across industries.[4]

1. Directive (EU) 2024/1760, of the European Parliament and of the Council of 13 June 2024 on Corporate Sustainability Due Diligence and Amending Directive (EU) 2019/1937 and Regulation (EU) 2023/2859, 2024 O.J. (L 2024/1760) [hereinafter CSDDD].

2. Erik Lidman, *The EU Framework on ESG*, RESEARCH HANDBOOK ON ENVIRONMENTAL, SOCIAL AND CORPORATE GOVERNANCE 378, 378 (Thilo Kuntz ed., 2024), https://www.elgaronline.com/edcollchap/book/9781802202533/book-part-9781802202533-30.xml.

3. European Commission, *The European Green Deal*, https://commission.europa.eu/strategy-and-policy/priorities-2019-2024/european-green-deal_en [https://perma.cc/CKL4-R3AW] (last visited Dec. 19, 2024).

4. CSDDD, *supra* note 1, rec. 15, 16.

The Directive originated from a 2020 European Commission (EC) legislative initiative originally aimed at developing a harmonized EU framework for sustainable corporate governance.[5] Following rounds of public consultations and feedback, the focus of the legislative project re-centered around sustainability due diligence.[6] Originally a complementary aspect of the initiative, the due diligence obligation became the core aspect of the proposal delivered by the European Commission on February, 15 2022.[7] The proposed Directive's ambitions were significantly reduced by the interinstitutional negotiation process between the European Commission, the European Parliament, and the Council of the European Union.[8] These negotiations, also known as trilogues,[9] saw a push and pull quite typical of EU lawmaking, with the Parliament championing the relatively more progressive and normatively ambitious position and the Council countering with a more conservative mandate.[10] The process was contentious—it was characterized by heated debates, political pressure, and intensive lobbying.[11] Ultimately, compromises had to be made. For the proposal to survive, its drafters had to substantially reduce its scope and eliminate certain corporate governance provisions relating to the duties and personal liability of directors.[12]

The current version of the CSDDD became law on July 25, 2024,[13] but further changes are not out of the question. In November 2024, the newly appointed

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5. *Sustainability Corporate Governance Initiative,* EUROPEAN COMMISSION: HAVE YOUR SAY – PUBLIC CONSULTATIONS AND FEEDBACK (Nov. 26, 2020), https://ec.europa.eu/info/law/better-regulation/have-your-say/initiatives/12548-Sustainable-corporate-governance_en. [https://perma.cc/5SWR-7LRQ].

6. Silvia Ciacchi, *The newly-adopted Corporate Sustainability Due Diligence Directive: an overview of the lawmaking process and analysis of the final text*, 25 ERA FORUM 29, 32–33 (2024).

7. *Proposal for a Directive of the European Parliament and of the Council on Corporate Sustainability Due Diligence and Amending Directive (EU) 2019/1937*, COM (2022) 71 final (Feb. 23, 2022).

8. Nadi Bernaz et al., *Can the Compromised EU Corporate Sustainability Due Diligence Directive Still Be Effective?*, RESEMBLANCE (Apr. 24, 2024), https://rebalanceproject.org/can-the-compromised-eu-corporate-sustainability-due-diligence-directive-still-be-effective [https://perma.cc/K6E7-Y4B6].

9. EUROPEAN UNION, *Trilogue - EUR - Lex*, https://eur-lex.europa.eu/EN/legal-content/glossary/trilogue.html [https://perma.cc/75CE-3WWN] (last visited Sep. 17, 2025).

10. Ciacchi, *supra* note 6 at 33–34.

11. *Id*. at 34–35.

12. *Compare Proposal for a Directive of the European Parliament and of the Council on Corporate Sustainability Due Diligence and Amending Directive (EU) 2019/1937*, *supra* note 7, arts. 25, 26 (requiring Member states to ensure that their laws regarding a breach of directors' duties apply and that Member states ensure that directors are responsible) *with* CSDDD, *supra* note 1, arts. 25, 26 (imposing no direct duties on directors).

13. *Corporate Sustainability Due Diligence,* EUROPEAN COMMISSION, https://commission.europa.eu/business-economy-euro/doing-business-eu/sustainability-due-diligence-responsible-business/corporate-sustainability-due-diligence_en [https://perma.cc/B2QK-YAX3] (last visited Sep. 17, 2025).

European Commission announced plans to reopen both legislative processes for the CSDDD: the Corporate Sustainability Reporting Directive (CSRD),[14] and the EU Taxonomy Regulation for Sustainable Activities.[15] The European Commission felt additional changes would be necessary to further streamline the EU's corporate sustainability framework.[16] This latest development, now called the Omnibus package, could potentially have significant implications for all three pieces of legislation because the text, scope, and content of each are again being called into question.[17]

Twists and turns of EU lawmaking notwithstanding, there is no doubt that the EU's sustainability due diligence policy is set to generate profound impacts both inside and outside of the Union. The significance of the CSDDD within the EU cannot be overstated. It directly applies to approximately 6,000 EU-based companies and 900 non-EU companies that meet specific turnover thresholds in the EU.[18] With its extraterritorial scope and contractual cascading mechanisms, the CSDDD is set to extend its reach to companies far beyond EU borders and reshape global business practices through a manifestation of what is known as the "Brussels Effect".[19]

One market where the CSDDD's impact will be particularly pronounced is the United States. The interconnected nature of the US-EU trade relationship

14. Directive (EU) 2022/2464, of the European Parliament and of the Council of 14 December 2022 amending Regulation (EU) No 537/2014, Directive 2004/109/EC, Directive 2006/43/EC, and Directive 2013/34/EU, as Regards Corporate Sustainability Reporting, 2022 O.J. (L 322) 15-80.

15. Regulation (EU) 2020/852, of the European Parliament and of the Council of 18 June 2020 on the Establishment of a Framework to Facilitate Sustainable Investment, and Amending Regulation (EU) 2019/2088, 2020 O.J. (L 198) 13, 43.

16. Ursula von der Leyen, President, European Commission, Speech at the European Parliament Plenary on the New College of Commissioners and Its Programme, https://enlargement.ec.europa.eu/news/speech-president-von-der-leyen-european-parliament-plenary-new-college-commissioners-and-its-2024-11-27_en [https://perma.cc/H36Z-UUYM] (last visited Feb. 25, 2025). The considerations in this paper are informed by developments observed until October 2025.

17. At the time of writing, the Omnibus proposal is undergoing the EU legislative process, including procedural votes, the issuing of new draft versions of the text, and interinstitutional negotiations. The outcome of this process—meaning the final version of the Omnibus text—is unlikely to be finalized before 2026.

18. Commission Staff Working Document, *Impact Assessment Report Accompanying the Document Proposal for a Directive of the European Parliament and of the Council on Corporate Sustainability Due Diligence and Amending Directive (EU) 2019/1937*, SWD (2022) 42 final (Feb. 23, 2022).

19. The term "Brussels Effect" was coined by Anu Bradford in an influential book explaining how the EU is able to unilaterally export its regulatory standards abroad through market mechanisms, leveraging factors like the size and attractiveness of its internal market, its regulatory capacity, and the embeddedness of EU firms in global value chains. ANU BRADFORD, THE BRUSSELS EFFECT: HOW THE EUROPEAN UNION RULES THE WORLD (Oxford Univ. Press 2020), https://academic.oup.com/book/36491.

makes American businesses especially susceptible to the Directive's influence.[20] Bilateral trade between the US and the EU is vast—it totaled $1.3 trillion in 2022[21] and continued to grow through 2023.[22] The EU currently accounts for 17% of the US goods trade, a quarter of its services trade, and nearly half of foreign direct investment (FDI) into the United States.[23] Key sectors including oil and gas,[24] automotive, machinery, and pharmaceuticals dominate this trade, often involving supply chains or operations that fall within the CSDDD's regulatory purview.[25] It is estimated that about 300 of the non-EU companies that will fall under the scope of the Directive will be US-based.[26] Although not all American companies exporting to Europe will be directly within the purview of the CSDDD, many US companies can expect to find themselves at the receiving end of sustainability due diligence compliance obligations for in-scope companies. This could result in requirements by EU buyers of US products to adopt new contractual commitments, share material sustainability information, undergo audits, or adapt sourcing and production processes.[27] Therefore, even without falling within its scope, US companies could still be indirectly affected by the CSDDD.[28]

The importance of the EU market to US businesses extends beyond trade volumes. EU Member States collectively form the largest foreign market for US companies, with the US exporting goods worth $368.8 billion to the EU in 2023.[29] The US and EU are deeply integrated through investment ties. US exports of goods and services to the EU support 2.3 million jobs in the US, and EU firms'

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20. FREDRIK ERIXON, PHILIPP LAMPRECHT & RENATA ZILLI MONTERO, EUROPEAN CENTRE FOR INT'L. POL. ECON., THE NEW WAVE OF DEFENSIVE TRADE POLICY MEASURES IN THE EUROPEAN UNION: DESIGN, STRUCTURE, AND TRADE EFFECTS (2022).

21. *EU Trade Relations with the United States: Facts and Figures,* TAXSPOC (Jan. 16, 2025), https://www.taxspoc.com/articles/eu-trade-relations-with-the-united-states-facts-and-figures [https://perma.cc/6TXZ-GMWK].

22. *USA-EU - International Trade in Goods Statistics*, EUROSTAT, https://ec.europa.eu/eurostat/statistics-explained/index.php?title=USA-EU_-_international_trade_in_goods_statistics [https://perma.cc/3FRW-EQH5] (last visited Dec. 9, 2024).

23. SHAYERAH I. AKHTAR, CONG. RSCH. SERV., *U.S.-EU Trade and Economic Relations*, (2025), https://www.congress.gov/crs-product/IF10931.

24. Oil and gas is the largest US export to the EU, valued at approximately $64.55 billion. *EU-US Trade: Facts and Figures,* CONSILIUM, https://www.consilium.europa.eu/en/infographics/eu-us-trade/ [https://perma.cc/M2ZT-G9EB] (last visited Dec. 9, 2024).

25. *Id*.

26. Estimations can be found at *CSDDD Datahub - Search for a Company - SOMO*, https://www.somo.nl/csddd-datahub/#look-for-company (last visited Feb. 25, 2025).

27. The obligations of the CSDDD are explained in Section I.B.

28. This interconnectedness between the US and EU economies remains notwithstanding the US tariff policies announced in early 2025 to end the ensuing "trade war." While trade balances may shift in the months and years ahead, the EU is sure to remain a key trade partner for the US over the long term.

29. *U.S. Exports of Trade Goods to the EU 2024 from 1997 to 2024*, STATISTA, https://www.statista.com/statistics/186576/volume-of-us-exports-of-trade-goods-to-the-eu-since-1997/ (last visited Dec. 30, 2024).

investments in the US employ 3.4 million people.[30] Overall, EU and US firms have €4.7 trillion worth of investment in each other's markets.[31] This relationship has continued to strengthen as US imports from the EU increased by 12.8% in 2022, 4.3% in 2023,[32] and nearly doubled over the past decade.[33] These figures highlight the EU's critical role in the strategic planning of US companies.

The relevance of the CSDDD for US businesses arises through two primary channels. First, companies with substantial operations or turnover in the EU may be directly subject to the Directive's obligations. Second, many US companies will be indirectly affected through contractual cascading. Under this mechanism, companies subject to the CSDDD extend their compliance obligations to their suppliers and business partners through contractual clauses. In practice, this means that even US companies which are not directly covered by the Directive will need to adapt their practices to meet the requirements imposed by their EU counterparts to maintain business relationships.

The implications of the CSDDD for US companies, therefore, are profound. As per the framework developed by political economist Arthur Hirschmann, when confronted with a new piece of legislation or decision, an actor has three choices: exit, voice, or loyalty.[34] *Exit* means withdrawing from the context in which the legislation has arisen, *voice* refers to attempting to change outcomes by protesting or voicing concerns, and *loyalty* means remaining involved and accepting the new circumstances.[35] These options may also be available to American companies. In the case of the CSDDD, *voice* is best expressed through the medium of lobbying. Indeed, US business groups and organizations have not shied away from vocalizing their concerns about the effects of the Directive,[36] and as a result the CSDDD has entered the US's political discourse.[37] *Exit* would be manifested by US companies exiting the EU markets entirely and correspondingly disentangling themselves from the activities of in-scope companies. The *loyalty* option, whereby directly and indirectly affected US

30. *Trade and Economic Security: United States*, EUROPEAN COMMISSION, https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/united-states_en [https://perma.cc/9L6D-GN38] (last visited Nov. 6, 2025).

31. *Id*.

32. *Volume of U.S. Imports of Trade Goods from the European Union from 1997 to 2023*, STATISTA, https://www.statista.com/statistics/187737/volume-of-us-imports-of-trade-goods-from-the-eu-since-1997/ (last visited Oct. 11, 2025).

33. *Id*.

34. *See generally* Albert O. Hirschman, Exit, Voice, and Loyalty: Responses to Decline in Firms, Organizations, and States (1970).

35. *Id*.

36. Elizabeth Meager, *US Business Groups Set on Weakening EU Sustainability Rules*, SUSTAINABLEVIEWS, https://www.sustainableviews.com/us-business-groups-set-on-weakening-eu-sustainability-rules-4895cf26/ (last visited Feb. 25, 2025).

37. *Senate Committee on Commerce, Science, and Transportation: Full Committee Nomination Hearing*, 119th Cong. 33 (2025) (statement of Howard Lutnick) ("The extensive scope and burdensome regulations in CSDDD is a real concern for American industry and the American economy.").

companies choose to keep their EU ties by complying with the Directive's obligations, ends up having the most interesting implications for US companies compliance strategies.

This paper argues that a paradox emerges when examining the Directive's impact through the lenses of direct and indirect applicability. US companies directly subject to the CSDDD are prone to view compliance as a tactical, risk-based strategy. Their primary motivation is extrinsic, driven by the need to minimize liability and avoid penalties. Consequently, such companies are more likely to adopt narrow, compliance-focused measures aimed at satisfying the minimum requirements. Conversely, US companies indirectly affected by the CSDDD are likely to adopt a more strategic approach to compliance. For these companies, compliance represents an opportunity to enhance their market position, secure access to the lucrative EU market, and strengthen relationships with European partners. Their motivation is intrinsically driven because they view alignment with CSDDD requirements as a strategy to gain a competitive advantage. This strategic perspective encourages companies to go beyond the minimum and invest in comprehensive, sustainable business practices.

This article explores the significance of the CSDDD for US companies, emphasizing its direct and indirect implications. It provides an overview of the Directive and its key obligations, detailing how it applies to both EU-based companies and non-EU companies meeting specific criteria within the EU (I). The article then examines the two primary channels through which the Directive impacts US businesses: direct applicability, where companies with substantial operations in the EU face immediate compliance obligations, and indirect applicability, where contractual cascading imposes compliance requirements on US companies that may not be directly covered by the CSDDD. The article argues that the CSDDD, while creating challenges for American companies, has the potential to offer them new opportunities as well. The analysis highlights the paradoxical nature of the Directive's impact: direct applicability drives tactical compliance, while indirect applicability fosters strategic and potentially deeper alignment with the CSDDD's principles (II). The article concludes by underscoring the critical need for US companies to recognize and prepare for these differing compliance pathways (III). Even when not directly subject to the Directive, taking preparatory steps to comply with the CSDDD can provide substantial advantages for companies and position them to both meet global expectations for sustainable business practices and secure long-term growth. The article equally stresses that the incentives of American companies to comply (either directly or indirectly) will crucially depend upon the level of enforcement in specific Member States.

I. OVERVIEW OF THE CSDDD

A. *The emergence of the CSDDD*

The CSDDD marks a significant development in European Union law due to its focus on fostering sustainable business practices and enhancing corporate accountability.[38] Enacted in July 2024, the Directive sets out to address sustainability challenges across global supply chains and business operations, reflecting the EU's commitment to promoting human rights and environmental protection within the corporate world.[39] This initiative is the culmination of over a decade of legislative debates, consultations, and studies.[40] Its conceptual roots trace back to policy documents such as the 2011 communication on "A Renewed EU Strategy 2011-14 for Corporate Social Responsibility." It was there that the European Commission first announced the EU's commitment to implement the UN Guiding Principles on Business and Human Rights and "human rights due diligence."[41] The first draft of the CSDDD was proposed in 2022 following a series of consultations involving businesses, civil society organizations, and EU Member States.[42] These consultations highlighted the need for a robust regulatory framework to tackle growing concerns about supply chain sustainability, human rights violations, and environmental degradation.[43] The Directive was designed to be phased in gradually: applying first to non-EU companies generating EUR 1.5 billion in turnover in the EU, then to those with EUR 900 million, and lastly, to all qualifying entities.[44]

The CSDDD represents a shift from a traditional corporate responsibility model to one that emphasizes due diligence, focusing on process rather than specific outcomes. The Directive introduces obligations of means rather than results, compelling companies to integrate sustainability considerations into their operations proactively.[45] This includes mapping supply chains, carrying out risk assessments to identify and address actual or potential adverse impacts, and implementing mitigation measures to prevent harm to human rights and the environment.[46] The Directive also emphasizes climate transition plans, requiring

38. *See, e.g.*, CSDDD recital 16.

39. CSDDD recitals 4, 16, 31.

40. Ciacchi, *supra* note 6, at 32–34.

41. *A renewed EU strategy 2011-14 for Corporate Social Responsibility*, at 14, COM (2011) 681 final (Oct. 25, 2011).

42. Ciacchi, *supra* note 6, at 33–35.

43. *See generally* European Commission, *Sustainable Corporate Governance Initiative*: *Summary Report – Public Consultation*, Ares (2021) 3297206, https://eur-lex.europa.eu/legal-content/EN/TXT/HTML/?uri=PI_COM:Ares(2021)3297206.

44. CSDDD art. 37. Although implementation was scheduled to begin in 2027, the dates mentioned in Article 37 will be pushed back in light of the Omnibus amendments.

45. Companies should pursue these goals through "*best efforts*." *See* CSDDD art. 22(1).

46. CSDDD art. 8, 10, 11.

companies to align their operations with the EU's climate neutrality goals.[47] The Directive's phased introduction gives companies time to adapt and build the necessary capacity to comply with its requirements, ensuring that its goals for sustainability and the protection of human rights are met without imposing undue financial burdens.

The CSDDD's adoption was shaped by extensive negotiations involving businesses, NGOs, and EU Member States.[48] These discussions were crucial in balancing regulatory burdens on businesses with the imperative to ensure meaningful due diligence addressing systemic sustainability risks.[49] Proponents called for a more rigorous Directive with stricter enforcement mechanisms,[50] while critics stressed the importance of a clear, enforceable framework protecting human rights and the environment without placing undue financial strain on companies.[51] The final version reflects a compromise, incorporating provisions for phased implementation and a risk-based approach to due diligence obligations.

Recently, this compromise has further been called into question following the announcement of a new proposal aimed at streamlining the EU corporate sustainability framework.[52] Should the Omnibus package come to fruition, the EU could see the creation of an integrated framework for sustainability due diligence, non-financial reporting, and sustainable investments. Whilst some support this project and hope that it will lead to a less burdensome and more competitive regulatory framework, others fear that this streamlining effort will both water down the substantive content of all three laws and create confusion and uncertainties in the market.[53] Merits and drawbacks of the Omnibus package notwithstanding, concerns about the spillover effects of the Directive are understandable when considering its far-reaching effects.

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47. CSDDD art. 22.

48. Sustainable Corporate Governance Initiative: Summary Report – Public Consultation, EUROPEAN COMMISSION, https://ec.europa.eu/info/law/better-regulation/have-your-say/initiatives/12548-Sustainable-corporate-governance/public-consultation_en (last visited Oct. 11, 2025).

49. Wide consultations are a required aspect of the EU lawmaking process, as they are necessary to ensure that both the principles of proportionality and subsidiarity of EU law are preserved. *See* Protocol (No. 2) on the Application of the Principles of Subsidiarity and Proportionality, art. 2, Mar. 30, 2010, 2010 O.J. (C 83) 206 (annexed to the Treaty on European Union and the Treaty on the Functioning of the European Union).

50. *See e.g.*, *Promising yet Flawed: EU Law on Corporate Sustainability Faces Key Challenges*, THE DANISH INSTITUTE FOR HUMAN RIGHTS (Jan. 10, 2024), https://www.humanrights.dk/news/promising-yet-flawed-eu-law-corporate-sustainability-faces-key-challenges.

51. *E.g.* Paul Krüger Andersen et al., *Response to the Proposal for a Directive on Corporate Sustainability Due Diligence by Nordic and Baltic Company Law Scholars* (Nordic & European Co. L. Working Paper, Paper No. 22-01, 2022), https://papers.ssrn.com/abstract=4139249.

52. *See* Speech by President von der Leyen at the European Parliament Plenary on the new College of Commissioners and Its Programme, *supra* note 16.

53. *See* Libby Hargreaves, *EU's Omnibus Package Sparks Debate on Supply Chain Rules*, SUPPLY CHAIN DIGITAL (Feb. 4, 2025), https://supplychaindigital.com/sustainability/deregulation-how-will-the-eu-omnibus-impact-sustainability.

B. *Key obligations of the CSDDD*

The CSDDD acts as a minimum harmonization directive,[54] meaning that EU Member States will have the ability to issue more stringent or specific provisions.[55] However, given the controversial nature of the Directive and the difficult road to its adoption,[56] it is uncertain whether national laws will go significantly beyond its standards. Although the Omnibus package proposal may lead to further changes in the EU sustainability due diligence framework, the text currently in force remains as a baseline for potential amendments.

The table below highlights key aspects of the Directive as it was adopted in July 2024. Specific provisions are explored in greater detail in the coming subsections.

Human rights and environmental adverse impacts
• Rights and prohibitions included in international human rights instruments[57]
• Obligations and prohibitions included in environmental instruments[58]
Due diligence[59]
• Due diligence policy and code of conduct[60]
• Mapping out operations to identify (actual or potential) adverse impacts, and carrying in-depth assessments of operations where impacts have been found[61]
Preventing and ending adverse impacts
• Prevention action plan for potential adverse impacts[62]
• Correction action plan for actual adverse impacts[63]
• Investments in operational processes and infrastructure[64]
• Modifications to company business plans, strategies, and operations[65]

54. CSDDD art. 4.

55. *See* European Union Directives, EUR-LEX, https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=legissum:l14527 (last visited Apr. 14, 2025).

56. *See* Ciacchi, *supra* note 6.

57. CSDDD art. 3(c), annex I part I §§ 1–2.

58. CSDDD art. 3(b), annex I part I § 1 (1)(15) and part II.

59. Overview of obligations can be found in CSDDD art. 5.

60. *See* CSDDD art. 7.

61. *See* CSDDD art. 8.

62. *See* CSDDD art. 10(2)(a).

63. *See* CSDDD art. 11(3)(b).

64. *See* CSDDD art. 10(2)(c); CSDDD art. 11(3)(d).

65. *See* CSDDD art. 10(2)(d); CSDDD art. 11(3)(e).

• Support to small and medium-sized enterprises (SME)[66] business partners, where compliance with obligations is too onerous[67]
• Contractual assurances from business partners and suppliers[68]
• Verifying compliance along supply chains[69]
Refrain from entering relations with non-compliant business partners[70]
• Enhanced action plan, either preventive or corrective
• Termination of business relationships
Other obligations
• Meaningful engagement with stakeholders[71]
• Notification mechanisms and complaints procedures[72]
• Monitoring effectiveness of due diligence policies and measures[73]
• Public communication regarding due diligence[74]
• Document retention for actions taken in fulfilment of due diligence obligations[75]
• Transition plan for climate change mitigation[76]
• Delegation of contact point representative[77]
Liability
• Administrative liability[78]
• Civil liability[79]

Table 1: Key aspects of the CSDDD

The measures, requirements, and behavioral expectations described in this section relate to the operation of companies, subsidiaries, and business partners

66. *See* Eur. Comm'n, *SME Definition*, https://single-market-economy.ec.europa.eu/smes/sme-fundamentals/sme-definition_en [https://perma.cc/VJ4H-U28N] (last visited Sep. 16, 2025) (describing the criteria used under EU law to define small and medium-sized enterprises).

67. *See* CSDDD art. 10(2)(e); CSDDD art. 11(3)(f).

68. *See* CSDDD art. 10(2)(b); CSDDD art. 11(3)(c).

69. *See* CSDDD art. 10(5); CSDDD art 11(6).

70. *See* CSDDD art. 10(6); CSDDD art. 11(7).

71. *See* CSDDD art. 13.

72. *See* CSDDD art. 14.

73. *See* CSDDD art. 15.

74. *See* CSDDD art. 16.

75. *See* CSDDD art. 5(4).

76. *See* CSDDD art. 22.

77. *See* CSDDD art. 23.

78. *See* CSDDD art. 27.

79. *See* CSDDD art. 29.

in the "chains of activities." Under the CSDDD, a company's chain of activities includes direct and indirect "business partners,"[80] including those involved in the "upstream" production of the company's goods and services, and the "downstream" distribution, transport, and storage of products.[81]

1. Human Rights and Environmental Adverse Impacts

The Directive has the aim of limiting and eliminating adverse impacts on human rights and the environment.[82] These impacts are defined through rights and prohibitions detailed in the Directive's Annex. Specifically, the CSDDD defines "adverse environmental impacts" as *breaches* of the relevant prohibitions and obligations,[83] and "adverse human rights impacts" as *abuses* of selected human rights.[84]

Prohibitions relating to human rights are defined using international human rights treaties and include, inter alia, the right to life, the prohibition of torture, the prohibition of child labor, and the rights of workers.[85] The Directive relies on the international law of human rights, including specific references to the International Covenant on Civil and Political Rights, the Convention on the Rights of the Child, and the International Labor Organization's core conventions.[86] The Directive's environmental provisions are structured to prevent degradation of the environment, like deforestation or the release of harmful emissions.[87] A negative impact must fulfil certain criteria to amount to a prohibition under the Directive.[88] For example, if a negative impact resulted in denying persons access to safe and clean drinking water, or substantially affected ecosystems, it would be considered a prohibition under the Directive.[89] Further environmental rights and prohibitions are defined according to international environmental law, including the Minamata Convention and the Basel Convention.[90]

It is essential that companies understand the rights, obligations, and prohibitions most relevant to their business operations and "chain of activities" because the substance of the sustainability due diligence obligation is derived

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80. *See* CSDDD art. 3(1)(f)(i)–(ii) ("'[B]usiness partner' means an entity: (i) with which the company has a commercial agreement related to the operations, products or services …('direct business partner'); or (ii) which is not a direct business partner but which performs business operations related to the operations, products or services of the company ('indirect business partner')").

81. CSDDD art. 3(1)(g)(i)–(ii).

82. CSDDD art. 1(a).

83. CSDDD art. 3(1)(b).

84. CSDDD art. 3(1)(c).

85. *See* CSDDD annex part I § 1.

86. *See* CSDDD annex part I § 2.

87. *See* CSDDD annex part I § 1(1), (15).

88. CSDDD art. 3(1)(b)–(c).

89. CSDDD art. 3(1)(c)(i)–(ii).

90. *See* CSDDD annex part II.

from the definition of "adverse impacts."[91] In this respect, the CSDDD contextualizes its understanding of human rights and environmental impacts by referring to internationally recognized instruments and conventions and stresses that its Annex should be interpreted in line with these sources.[92] Critics, however, have pointed out that the CSDDD's approach to the selection and formulation of certain rights does not entirely conform to international human rights law and established human rights due diligence.[93] Incompatibilities with authoritative instruments such as the UN Guiding Principles on Business and Human Rights,[94] which have already contributed to the establishment of best practices in the market,[95] may lead to needless uncertainties interpreting the Directive's provisions in adjudication and enforcement.[96]

2. Due Diligence

The core of the CSDDD is the due diligence obligation, which has the aim of encouraging companies to prevent, mitigate, and end the adverse human rights and environmental adverse impacts along a company's chain of activities.[97]

- ***Due diligence policy and code of conduct.*** As a first step, companies are required to integrate sustainability due diligence into policymaking and risk management systems.[98] This means that businesses must develop company-wide policies addressing approaches, integration, and implementation of due diligence. Companies must also adopt codes of conduct which will apply to suppliers and business partners along the "chain of activities."[99] Such due diligence policies must be updated if a significant change occurs in the business' practices and must be reviewed every two years.[100]
- ***Mapping out and assessing operations.*** As part of due diligence, companies must map out the operations of themselves, their

91. CSDDD art. 3(1)(g).

92. *See generally* CSDDD annex parts I–II (listing international human rights and environmental conventions that define adverse impacts under the Directive).

93. *See* Nicolas Bueno et al., *The EU Directive on Corporate Sustainability Due Diligence (CSDDD): The Final Political Compromise*, 9 BUS. & HUM. RTS. J. 294, 295–296 (2024).

94. U.N. Human Rights Office of the High Commissioner, Guiding Principles on Business and Human Rights: Implementing the United Nations 'Protect, Respect and Remedy' Framework, U.N. Doc. HR/PUB/11/04 (2011).

95. *See* John Gerard Ruggie, Caroline Rees & Rachel Davis, *Ten Years After: From UN Guiding Principles to Multi-Fiduciary Obligations*, 6 BUS. & HUM. RTS. J. 179, 180–81 (2021).

96. *See* Signe Andreasen Lysgaard & Gabrielle Holly, Regulating Business and Human Rights in the EU: The Need for a Continued Interplay Between Soft and Hard Law (May 29, 2024) (unpublished manuscript), https://papers.ssrn.com/abstract=4847499.

97. *See* CSDDD art. 5; CSDDD art. 3(1)(g).

98. CSDDD art. 7.

99. CSDDD art. 7(2)(b).

100. CSDDD art. 7(3).

subsidiaries, and their business partners within the chain of activities to identify where adverse impacts are most likely to happen and to be most severe.[101] If a company does find severe potential or actual adverse impacts, it must carry out an in-depth assessment of the operations in question, including those of the subsidiaries and business partners along the chain of activities.[102]

- ***Prevention action plan for potential adverse impacts.*** If a company finds potential adverse impacts, as covered by the CSDDD, along its chain of activities, the company must develop and implement a prevention action plan to prevent or mitigate those impacts.[103] The action plan must contain appropriate preventive measures and a clear and reasonable timeline for implementation. Improvement must be measured using both qualitative and quantitative indicators.[104]
- ***Corrective action plan for actual adverse impacts.*** If a company discovers actual adverse impacts, it must develop and implement a corrective action plan to neutralize or minimize the extent of the negative impacts of its business activities.[105] Similar to the prevention action plan, it must contain clearly defined timelines and must employ qualitative and quantitative measurements.
- ***Other measures of preventing and ending adverse impacts.*** When a company discovers potential or actual adverse impacts, it is required to mitigate or end such impacts through means other than the corrective action plans. It may make financial or non-financial investments to adjust or upgrade its operational processes and infrastructure.[106] It can modify its own business plan, strategy, and operations, for example, by including pricing and distribution practices.[107] If its business partner is an SME, it must provide targeted and proportionate support for the SME to prevent or end impacts pertaining to its operations.[108] Furthermore, the company must assure through contractual obligations that its business partners and suppliers comply with its code of conduct and, if applicable, its potential and corrective action plans.[109] Additionally, businesses must take appropriate measures to verify that partners comply with the contractual obligations such as independent third-party verification.[110]

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101. CSDDD art. 8.
102. CSDDD art. 8(2)(b).
103. CSDDD art. 10.
104. CSDDD art. 10(2)(a).
105. CSDDD art. 11.
106. CSDDD art. 10(2)(c); CSDDD art. 11(3)(d).
107. CSDDD art. 10(2)(d); CSDDD art. 11(3)(e).
108. CSDDD art. 10(2)(e); CSDDD art. 11(3)(f).
109. CSDDD art. 10(2)(b); CSDDD art. 11(3)(c).
110. CSDDD art. 10(5); CSDDD art. 11(6).

- ***Refrain from entering relations with non-compliant business partners.*** In cases where potential or actual adverse impacts cannot be properly addressed through appropriate measures, companies are required, as a last resort, to refrain from business relations with non-compliant partners.[111] Companies must adopt and implement enhanced preventive or corrective action plans for the adverse impacts in question, and suspend any relationships with respect to such activities as a way to leverage compliance. If there is no expectation that this approach will succeed and any adverse impacts are severe, companies must terminate business relationships insofar as they concern the adverse impact.
- ***Stakeholder engagement.*** Companies must meaningfully engage with stakeholders by providing relevant and comprehensive information, carrying out effective and transparent consultations, allowing reasoned requests for information, and providing written justifications when such requests are refused.[112] Companies must consult stakeholders at multiple steps of the due diligence process and must ensure that participants are not subject to retaliation or retribution.[113]
- ***Speak up.*** Businesses must establish notification mechanisms and complaints procedures allowing external stakeholders to submit complaints regarding adverse impacts in activity chains.[114] Such mechanisms must be accessible and anonymous. Complaints procedures must be publicly available and transparent, and the complainants must be allowed to meet with company representatives to discuss the adverse impacts.[115]
- ***Effectiveness.*** Companies must monitor the effectiveness of their policies and measures with respect to due diligence.[116] Proper monitoring requires periodic assessments of company activity chains using qualitative and quantitative indicators undertaken at least every twelve months. Companies have the obligation to publicly communicate on due diligence by publishing annual statements on their websites and on the collection body of the European Single Access Point.[117] Companies must retain documents detailing actions taken to fulfill due diligence obligations for at least five years.[118]

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111. CSDDD art. 10(6); CSDDD art. 11(7).
112. CSDDD art. 13.
113. CSDDD art. 13(3), (4).
114. CSDDD art. 14.
115. CSDDD art. 4(4).
116. CSDDD art. 15.
117. CSDDD art. 16.
118. CSDDD art. 5(4).

3. Other Obligations

- ***Transition plan for climate change mitigation.*** The CSDDD establishes the obligation for companies to adopt and enact climate change transition plans aimed at adapting the company's business operations to comply with the EU's climate neutrality commitments.[119] Plans must include time-bound climate change and emission reduction targets and must describe the actions undertaken to achieve such targets. Companies must quantify investments and detail the roles of various company bodies in carrying out transition plans.[120]
- ***Interaction with the CSRD.*** The CSDDD also interacts with its "sister directive" the CSRD because companies already CSRD-compliant can be deemed to have complied with the obligation to "adopt" the plan.[121] However, they are still required to enact it under the CSDDD.[122]
- ***Delegating a contact point representative.*** In-scope companies that are not EU-based have the obligation to designate a natural or legal person as their authorized representative in relation to the CSDDD.[123] The representative must notify its contacts of the relevant supervisory authority and must be empowered to receive all communication from the authority with respect to compliance with its obligations under the Directive.[124]

4. Liability

- ***Civil liability.*** A company may face civil liability in the event that damage was caused to a natural or legal person as a result of the company's willful or negligent failure to meet the obligations of Articles 10 or 11 of the CSDDD.[125] In order for civil liability to apply, the damage must have been caused by the infringement of a natural or legal person's legal interest protected under national law.[126] However, there is no liability when the harm is caused solely by a company's business partner and the company fulfills its CSDDD duties.[127] Thus, a company is only liable if it causes the damage itself or contributes to the harm.

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119. CSDDD art. 22.
120. CSDDD art. 22(1).
121. CSDDD art. 22(2).
122. *Id*.
123. CSDDD art. 23.
124. CSDDD art. 23(4).
125. CSDDD art. 29(1)(a).
126. CSDDD art. 29(1)(b).
127. CSDDD art. 29(1).

- ***Administrative liability.*** Companies may be liable for pecuniary penalties under the Directive.[128] The sanctions may be up to 5% of a company's net worldwide turnover.[129] If a company fails to comply with the penalty decision, a competent authority shall issue a public statement indicating the company and disclosing the infringement for which it is responsible, leading to possible reputational damage.[130]

II. APPLICABILITY OF THE CSDDD AND ITS RELEVANCE TO US COMPANIES

The CSDDD's scope is broad and complex, applying to both EU and non-EU companies that meet specific financial criteria within the EU.[131] EU-based companies are directly subject to the Directive when they have more than 1,000 employees on average and their net annual *worldwide* turnover exceeds EUR 450 million.[132] Additionally, the CSDDD can be applicable to US companies either directly, based on their operations within the EU, or indirectly through contractual cascading, extending its influence across global supply chains.[133] This dual applicability arises from the Directive's broad scope and the interconnected nature of global business operations.

- ***Direct applicability.*** US companies are directly subject to the Directive when their net annual turnover *in the EU* exceeds EUR 450 million, regardless of how many people they employ.[134] US companies are also directly subject to the directive when they are the ultimate parent company of a group that, on a consolidated basis, reaches that threshold.[135] That is to say, US companies with large EU presence are required to conduct due diligence across their entire value chains to identify, prevent, and mitigate adverse impacts on human rights and the environment within the Union.[136] According to unofficial estimations, there are around 300 companies in different sectors that can be expected to fall under the scope of

128. CSDDD art. 27(3)(a).

129. CSDDD art. 27(4).

130. CSDDD art. 27(3)(b); *see also* CSDDD art. 27(5).

131. CSDDD art. 2.

132. CSDDD art. 2(1)(a).

133. David Lakhdhir, *The EU Due Diligence Directive: Implications for U.S. Companies*, American Bar Association (July 15, 2024), https://www.americanbar.org/groups/business_law/resources/business-law-today/2024-july/eu-due-diligence-directive-implications-us-companies/ [https://perma.cc/P5U8-BXJ8].

134. CSDDD art. 2(2)(a).

135. CSDDD art. 2(2)(b).

136. *Id*.

the CSDDD.[137] These companies will be required to adapt their internal operations, and those of their subsidiaries, to comply with the Directive's due diligence requirements.

- ***Indirect applicability through contractual cascading.*** Even when turnover thresholds are not met, US companies may still find themselves impacted by the CSDDD through contractual cascading. This occurs when companies directly subject to the CSDDD incorporate sustainability requirements into contracts with non-EU suppliers, thereby extending due diligence obligations down the supply chain. For instance, an EU-based company that has its own obligations under the CSDDD may require its US suppliers to comply with specific due diligence steps, such as conducting human rights risk assessments or implementing transition plans. This mechanism ensures that sustainability risks are managed not only within the EU but also along global supply chains, thereby effectively broadening the Directive's impact.

A. *European Model Clauses*

To ease the contractual cascading process, the European Commission will adopt a guidance document regarding voluntary model contractual clauses by the beginning of 2027.[138] Although the Commission has not yet released an official draft of the model clause, some indication of its contents can be derived from the work on European Model Clauses (EMCs). The EMCs are a set of contractual tools that are being developed by an independent working group with the aim of delivering the commission with a blueprint of model clauses that align with both the CSDDD and the international framework for sustainability due diligence.[139] In their current stage of development, the EMCs outline obligations that are not expressly mentioned in CSDDD. Although they are not as relevant as those in the Directive, they have the potential to materialize into duties that business partners must undertake.

The European Model Clauses contain key obligations relating to the due diligence obligations that go beyond the directive: First, contracting parties must notify one another of any severe adverse impacts they become aware of.[140] This obligation implies that the in-scope company must notify all of its suppliers across the activities chain, even if the severe impact relates only to its own business activities. Additionally, suppliers must conduct human rights and environmental due diligence assessments on any new subcontractors and must

137. *CSDDD Datahub – Seach for a Company*, *supra* note 26 (Go to search box and filter by United States of America. Then look at number of companies at the bottom of the table).

138. CSDDD art. 18.

139. Responsible Contracting Project, European Model Clauses (forthcoming quarter 4 2025) [hereinafter EMC], https://www.responsiblecontracting.org/emcs [https://perma.cc/LM5J-6H4M] (last visited May 5, 2025) (download the pdf on the website).

140. EMC art. 1.1(d)(i).

inform in-scope business partners of any sub-contracting prior to the contract.[141] The contracting parties must discuss and consider adverse impacts if there is a material change of order and must mitigate or avoid any such impacts.[142] Finally, in the case of contract termination, the parties must take appropriate measures to mitigate the adverse impacts caused by termination.[143] The key obligations of the European Model Clauses are comprehensively listed below:

- Notifying business partners of any severe adverse impacts[144]
- Conducting human rights and environmental due diligence assessments on any new subcontractors[145]
- Discussing and considering adverse impacts resulting from any material change of order[146]
- Informing in-scope business partners of any subcontracting prior to the awarding of the contract[147]
- Instituting measures to mitigate adverse impacts caused by contract termination[148]

Considering the text of both the CSDDD and the European Model Clauses at face value, indirectly scoped companies will likely have to comply with most, if not all, obligations of the Directive, and perhaps additional duties such as those outlined in the Model Clauses. There are, however, several key differences between the obligations of in-scope and indirectly scoped companies.

B. *Reporting Duties*

The first difference concerns reporting duties under the CSDDD. As mentioned above, in-scope companies must publish an annual statement on their website where they detail the steps taken to comply with the Directive.[149] This includes describing the due diligence undertaken by the company, the actual and potential adverse impacts it identified, and the measures it took with respect to those impacts.[150] The content and criteria of reporting will be further clarified and supplemented by the Commission until the beginning of 2027 through delegated acts.[151] Consequently, in-scope companies have to publicly disclose information relevant to compliance with the CSDDD and are thus exposed to liability in the

141. EMC art. 1.2(b).
142. EMC art. 1.3(e).
143. EMC art. 2(d); EMC art. 3(5)(b).
144. EMC art. 1(1)(d)(i).
145. EMC art. 1(2)(b).
146. EMC art. 1(3)(e).
147. *Id*.
148. EMC art. 2(d); EMC art. 3(5)(b).
149. CSDDD art. 16.
150. CSDDD art. 16(1); *see also* CSDDD art. 5(4).
151. CSDDD art. 16(3).

case of misleading or inaccurate information. As a result, companies may have to take appropriate steps to ensure the veracity of the report through independent third-party verification, such as an audit.

Since a directly scoped company must report its due diligence obligations across its supply chain, it would be expected to cascade the obligation of collecting the relevant information to its suppliers. Therefore, indirectly scoped companies may have a duty to report actions taken to comply with the contractually imposed due diligence requirements to their in-scope business partner. Since this disclosure is not public, indirectly scoped businesses do not face the wide risk of liability associated with public disclosure of information and face fewer risks regarding the accuracy of information meaning they may not need to rely on third-party verification.

C. *Liability*

The most important difference in application between directly and indirectly scoped companies is the relative extent to which the Directive imposes liability. Regarding civil liability, the Directive distinguishes between different types of causation. If damage is solely caused by a scoped company, only the company in question is liable.[152] If harm is caused solely by the conduct of an indirectly-scoped subsidiary or supplier, then the in-scope business does not face any liability, provided that it fully complied with its obligations under the Directive.[153] In this situation, the subsidiary or supplier would not face any liability under the CSDDD either. As to joint causation of the in-scope company and its business partner, the Directive provides for joint and several liability, with the possibility of recourse.[154] This means that each company at fault may be liable for damages proportionate to the level of harm it caused. The indirectly affected company would face civil liability under the CSDDD only if it jointly caused damage with its in-scope business partner. It should be noted, however, that the civil liability provision is one of the elements under renegotiation within the context of the Omnibus amendments.[155] If the Directive is drastically weakened or removed, companies will be faced with the national civil liability systems of the Member States instead.

In any respect, due to the rules of civil procedure in the European legal system, non-EU companies are unlikely to be tried in court for damages under the CSDDD.[156] Regarding administrative liability, in-scope companies are fully

152. CSDDD art. 29(1).

153. *Id*.

154. CSDDD art. 29(5).

155. *Proposal for a Directive of the European Parliament and of the Council of Amending Directives 2006/43/EC, 2013/34/EU, (EU) 2022/2464 and (EU) 2024/1760 as Regards Certain Corporate Sustainability Reporting and Due Diligence requirements*, COM (2025) 81 final (Feb. 26, 2025).

156. Sebastião Vieira de Freitas Netto et al., *Concepts and Forms of Greenwashing: A Systematic Review*, 32 ENV'T SCI. EUROPE, no. 1, Dec. 2020; Stefan Koos, *Civil Law, Conflict of Laws, and Extraterritoriality in the European Supply Chain Due Diligence Law*, 10 HASANUDDIN L. REV. 144, 160 (2024); Nadia Perrone, *Perspectives of Extraterritorial Jurisdiction for Environmental*

subject to penalties, including fines up to 5% of their net worldwide turnover from the previous financial year.[157] Indirectly-scoped businesses are not explicitly covered by the Directive's administrative liability. However, these fines are likely to be cascaded down by means of contractual liability, which is not included in the CSDDD. In-scope companies may impose penalties, pecuniary or otherwise, on their non-compliant business partners, a technique which effectuates implied joint and several administrative liabilities through contractual provisions. These penalties can be further cascaded down by direct business partners to their suppliers, thus spreading the effect of any administrative penalty across the supply chain.

D. *Enforcement*

The types of liability different companies face under the CSDDD result in different enforcement mechanisms. Indirectly scoped businesses primarily face contractual liability, which falls outside the Directive's scope. This type of liability is mainly enforced through civil dispute resolution and arbitration.[158] In that sense, indirectly scoped companies are not as likely to suffer significant reputational damage just for breaking contractually imposed obligations.

Conversely, in-scope companies are open to both commercial and reputational damage through civil[159] and administrative liability.[160] The Directive allows authorities to issue public statements identifying companies responsible for infringement as well as the nature of the infringement if sanctions are not paid within the required time-frame.[161] Even if the company complies with the penalties, authorities may still have discretion to publicly disclose the infringement.

For in-scope companies, enforcement of the CSDDD leads to reputational and commercial damage whereas the Directive is enforced through contractually imposed commercial consequences for indirectly scoped businesses.

Damage in the Proposal of the European Directive on Corporate Sustainability Due Diligence, 3 THE ITALIAN REV. OF INT'L AND COMPAR. L. 389, 404 (2023).

157. CSDDD art. 27(4).

158. EMC art. 5.

159. *See* Michael Hadani, *The Reputational Costs of Corporate Litigation: Long-Term Media Reputation Damages to Firms' Involvement in Litigation*, 24 CORPORATE REPUTATION REVIEW 234 (2021).

160. *See, e.g.*, John Armour et al., *Regulatory Sanctions and Reputational Damage in Financial Markets*, 52 J. OF FIN. AND QUANTITATIVE ANALYSIS 1429 (2017); Jonathan M. Karpoff et al., *The Reputational Penalties for Environmental Violations: Empirical Evidence*, 48 THE J. OF L. AND ECON. 653 (2005).

161. CSDDD art. 27(3)(b).

III. COMPLIANCE STRATEGIES UNDER THE CSDDD

A. *Incentives for American companies*

1. Differences in enforcement between Member States

Assuming profit-maximizing and cost-minimizing companies, in-scope and indirectly scoped American companies can follow a variety of different strategies. Such strategies are significantly influenced by how the CSDDD is enforced in different Member States. A crucial point in this respect is that, while the CSDDD establishes minimum harmonization, it does not harmonize enforcement at the Member State level. This is a general issue for the enforcement of domestic legislation implementing European environmental law.[162] Unlike in the US, there is no centralized European authority with enforcement powers to verify CSDDD compliance in Member States or to impose penalties at the European level. Such centralized enforcement mechanisms are rare in the EU and only exists for very specific policy areas, such as fisheries,[163] and none exist for environmental policy or CSDDD compliance. As a result, the ways in which Member State administrative authorities responsible for CSDDD enforcement carry out their tasks can vary significantly.

Article 24 of the CSDDD requires Member States to designate one or more supervisory authorities, and Article 25 allocates specific powers to these designated supervisory authorities. Article 27 obliges Member States to establish rules on penalties applicable to infringements of provisions of national law adopted pursuant to the CSDDD. The basic problem, however, is that there is no obligation for Member States to, for example, have a minimum number of full-time workers[164] allocated to the supervisory authorities. This problem also persists in general European environmental law and many are aware that it has the potential to lead to a race-to-the-bottom between EU Member States. EU Member States could formally create a Directive (including the CSDDD) but subsequently fail to allocate sufficient staff to supervisory authorities with the task of verifying compliance with national legislation implementing EU environmental law.

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162. Michael Faure, *The Development of Environmental Criminal Law in the EU and Its Member States*, 26 REV. OF EUR., COMPAR. & INT'L ENV'T L. 139 (2017); Michael Faure, *Environmental Criminal Liability: The Long and Winding Road towards an Effective Environmental Criminal Law System in the EU*, RSCH. HANDBOOK ON EU ENV'T L. 248 (Marjan Peeters & Mariolina Eliantonio eds., 2020).

163. *See* Florentin Blanc & Michael Faure, *Smart Enforcement in the EU*, 23 J. OF RISK RESEARCH 1405 (2020).

164. Or full-time equivalents ("FTEs"), meaning a standard measure that converts part-time or non-standard hours into the equivalent of a full-time role, typically based on a 40-hour work week. *Glossary:Full-Time Equivalent (FTE)*, EUROSTAT (Sep. 17, 2025) https://ec.europa.eu/eurostat/statistics-explained/index.php?title=Glossary:Full-time_equivalent_(FTE) [https://perma.cc/MZR8-Y65X].

The result is that there are substantial differences between EU Member States in terms of the enforcement of environmental law. On April 11, 2024 the Environmental Crime Directive ("ECD") was passed with the intention of partially remedying this issue by protecting the environment through criminal law.[165] The ECD now forces Member States to ensure that they will have national authorities with sufficient financial, technical, and technological resources for the effective detection, investigation, and prosecution of environmental criminal offenses.[166] Member States are also forced to organize effective training for judges, prosecutors, police, and judicial staff[167] and to ensure that systems are in place for the recording, production, and provision of anonymized statistical data for the reporting, investigation and judicial process of environmental offences to which the Directive applies.[168] The issue, however, is that the CSDDD only provides for administrative liability, and the obligations of the ECD do not apply to the CSDDD.[169]

In short, the implication is that there can be substantial differences in the de facto stringency of European environmental law for the simple reason that enforcement between Member States can show large divergence. As a result, even if the substantive rules are fully harmonized, there can still be substantial differences between the practical impact of CSDDD within different Member States.[170]

2. Options for in-scope American companies

The question arises as to what the consequences of these potential differences in enforcement are for in-scope American companies. We recall that, according to Hirschmann's framework, companies have the choice between exit, voice, or loyalty.[171] While, exiting is a possibility in situations where there are substantial differences in enforcement levels between Member States, to the extent that this problem arises with the CSDDD, it could provide opportunities for rational American businesses to engage in forum shopping, particularly for in-scope companies directly within the purview of the Directive. If such companies find that enforcement in Member State A is significantly more relaxed than in

165. *See* Directive (EU) 2024/1203 of the European Parliament and of the Council of 11 April 2024 on the Protection of the Environment Through Criminal Law and Replacing Directives 2008/99/EC and 2009/123/EC, 2024 O.J. (L 1203) 1.

166. *Id*. art. 17, at 24.

167. *Id*. art. 18, at 25.

168. *Id*. art. 22, at 26.

169. Moreover, even if the new ECD were to apply to the CSDDD, it would still not solve the issue as it does not contain an obligation for Member States to report on the number of FTEs allocated to environmental law enforcement.

170. That is also one of the reasons why, after the enlargement in 2004, notwithstanding formal harmonization, it was still attractive for many companies in Western-Europe to move East, simply because the level of enforcement was substantially more relaxed in many Eastern Member States. *See* Michael Faure & Jason Scott Johnston, *The Law and Economics of Environmental Federalism: Europe and the United States Compared*, 27 VA. ENV'T L.J. 205 (2009).

171. HIRSCHMAN, *supra* note 34.

neighboring Member State B, they might, ceteris paribus,[172] choose to relocate to the Member State with the more relaxed enforcement regime. De facto, this would mean they exit Member State B. As long as a company has a registered branch in the EU, the determination of the Member State applying the CSDDD obligations does not depend on where it generates its largest turnover.[173] It is only required that a company operating in a particular Member State designates an authorized representative established or domiciled in one of the Member States where it operates.[174] In other words, American in-scope companies could strategically engage in forum shopping, selecting the Member State where they expect CSDDD enforcement to be most relaxed.

The location choice of a corporation, unsurprisingly, depends on various factors like the applicable tax regime and corporate governance structure and so the decision may not solely rely on potential CSDDD enforcement. However, enforcement could be one of the factors influencing a rational American company's strategy of liability avoidance.

The in-scope company could also voice its concerns, for example, by lobbying for amendments to the CSDDD (as is currently taking place), or opt for loyalty. There will be a discussion of the different ways such loyal application of the CSDDD could take place later in this piece, but before that it will be prudent to address the options for indirectly scoped American companies.

3. Options for indirectly scoped American companies

The question of whether the CSDDD regime will provide incentives for compliance arises both for in-scope companies and indirectly scoped companies, though the incentive structures may ultimately be different. In-scope and indirectly scoped companies are equally confronted with the options of exit, voice, or loyalty. Exit is certainly an option when a European in-scope buyer could easily be substituted by a buyer from a jurisdiction where the CSDDD or similar legislation does not apply. A rational American supplier may opt for exit if the marginal costs of selling to alternative buyers are lower than the costs of CSDDD compliance. American sellers might equally exercise the voice option, and, if there are many that lobby against a stringent application of the CSDDD, they might even be successful. Given the trade volume of American companies with Europe, success is certainly possible.

The most interesting option, however, is loyalty. CSDDD compliance can take a variety of different forms, many of which give indirectly scoped companies the opportunity to behave strategically and opt for minimum compliance. The first possibility is that indirectly scoped American companies who deliver merchandise to in-scope companies could discover that the in-scope company is in a Member State with a lax enforcement regime. As a result, they may count on lax

172. All other things being equal.

173. CSDDD art. 24(3).

174. CSDDD art. 23(1).

administrative enforcement in the Member State and equally expect the in-scope company to not impose stringent compliance conditions upon them. The result is sub-optimal compliance by the indirectly scoped companies.

A second scenario is one where an indirectly scoped company would formally implement all model clauses referred to above,[175] but would only do "tick the box" compliance. Tick the box compliance exists when formal requirements, such as implementing a code of conduct, introducing the required model clauses in the contract, etc., are complied with without real substantive compliance. Whether an American indirectly scoped supplier would opt for "paper compliance" would depend upon several circumstances. One circumstance would be the attitude of the in-scope buyer and whether it would be satisfied with paper compliance or would demand genuine compliance with substantive obligations. Another important element is whether the in-scope chain leader or enforcement authorities in the Member State can factually verify the extent to which the American supplier would genuinely comply with the text of the Directive and its model clauses.

4. Different ways of loyalty: tactical versus strategic compliance

Regardless of the possibility of strategic behavior leading to formal compliance, there is the opportunity for indirectly scoped companies to move to genuine, substantive compliance as a business strategy. This would be especially likely in situations where Member State supervisory authorities are willing to seriously enforce the CSDDD. Alternatively, if it appeared that there were no substantial substantive differences between the EU Member States regarding CSDDD enforcement, genuine compliance would also become more likely. Given the difference in treatment between in-scope companies and indirectly scoped companies, we argue that there may be a fundamental difference in their compliance strategies. This can be explained through the lens of Bruno Frey's motivational crowding theory, according to which the introduction of controlling incentives like regulation can reduce actor's intrinsic motivation—crowding out—while other types of incentives, like reputational and economic benefits, can reinforce intrinsic motivation—crowding in. In the case of the CSDDD, in-scope companies would rationally adopt a formal enforcement strategy resulting in crowding out,[176] while indirectly scoped companies, facing reputational and relational market forces, would develop an intrinsic motivation for compliance resulting in crowding in.

In addition to differences in liability and enforcement exposure, different channels of CSDDD impact on US companies may also significantly affect companies' compliance motivations and strategies. US companies directly

175. EMC art. 2(a).

176. *See* BRUNO FREY, NOT JUST FOR THE MONEY: AN ECONOMIC THEORY OF PERSONAL MOTIVATION 7–35 (1997); Bruno S. Frey & Felix Oberholzer-Gee, *The Cost of Price Incentives: An Empirical Analysis of Motivation Crowding-Out*, 87 AM. ECON. REV. 746, 747 (1997).

subject to the Directive are likely to adopt a more tactical compliance strategy, focusing on mitigating risks and complying with minimum requirements to avoid penalties. Conversely, US companies indirectly affected may adopt a more strategic compliance approach, seeing compliance as a strategy to enhance market position and gain a competitive edge in the EU.

This distinction is not just theoretical; it has real-world implications for effectiveness and operational efficiency. Companies embracing strategic compliance are more likely to see enhanced credibility and attractiveness in both EU and global markets, whereas those with a purely tactical focus may struggle.[177] The implication being that companies with less genuine engagement with and integration of sustainability in core operations are worse-off in the markets. Understanding and positioning compliance strategies as either tactical or strategic can therefore significantly influence how US companies prepare for and react to the CSDDD, ultimately impacting their performance and sustainability outcomes.

B. *Tactical vs. Strategic Compliance: Understanding US Company Approaches to CSDDD Compliance*

Depending on the channel of applicability of the CSDDD, US companies are likely to adopt fundamentally different compliance strategies.[178] US companies directly subject to the CSDDD are likely to approach compliance through a tactical lens.[179] This approach emphasizes risk mitigation and minimal compliance to avoid penalties, reflecting the default behavior of companies exposed to administrative liability.

1. **Risk-Based Compliance Programs**: Some companies design compliance programs around a risk-based approach.[180] The risk-based approach is a technical strategy whereby compliance is centered around risk-reduction.[181] The primary objective is to minimize liability by addressing the most significant regulatory

177. *See* Juan Dempere et al., *The Entrepreneurial Impact of the European Directive on Corporate Sustainability Due Diligence*, 14 ADMIN. SCI. 266, 284 (2024); Clelia L. Rossi, *Compliance: An Overlooked Business Strategy*, 37 INT'L J. SOC. ECON. 816, 818 (2010); Joana Story & Pedro Neves, *When Corporate Social Responsibility (CSR) Increases Performance: Exploring the Role of Intrinsic and Extrinsic CSR Attribution*, 24 BUS. ETHICS: EUR. REV. 111, 119 (2015).

178. *See* Geeyoung Min, *Strategic Compliance,* 57 U.C. DAVIS L. REV. 415 (2023); Neil Gunningham, *Enforcement and Compliance Strategies*, THE OXFORD HANDBOOK OF REGUL. 120, 122–124 (Robert Baldwin et al. eds., 2010).

179. *See generally Alessio M. Pacces, Civil Liability in the EU Corporate Sustainability Due Diligence Directive Proposal: A Law & Economics Analysis* (Amsterdam Ctr. for L. & Econ. Working Paper, Paper No. 2023-02, 2023), https://papers.ssrn.com/abstract=4391121 (arguing that the design of the CSDDD leaves significant space for companies to strategically avoid liability).

180. Samson Esayas & Tobias Mahler, *Modelling Compliance Risk: A Structured Approach*, 23 A.I. L. 271, 273 (2015).

181. *See Id*.

risks.[182] Measures implemented ensure compliance with minimum requirements, often aligning narrowly with legal obligations.

2. **Extrinsic Motivation**: For directly affected companies, the motivation to invest in compliance is extrinsic.[183] It arises from rational calculations aimed at reducing overall costs associated with mitigation measures, liability, and potential penalties. Compliance becomes a cost-management exercise rather than a value-driven initiative.[184]
3. **Minimization of Liability Risk**: These companies' efforts are likely to focus on satisfying the baseline requirements needed to sufficiently reduce liability risks. As a result, their compliance programs may lack the depth or ambition associated with more strategic approaches, opting instead for a reactive stance.

Paradoxically, US companies indirectly affected by the CSDDD are more likely to adopt a genuine, strategic approach to compliance.[185] These companies, while not directly obliged by the Directive, face pressure from global supply chains and market expectations tied to CSDDD compliance.[186]

1. **Compliance as a Business Strategy**: For indirectly affected companies, compliance with the CSDDD represents an opportunity to enhance their market position.[187] By aligning their operations with CSDDD standards, they can position themselves as reliable partners for larger global companies within the directive's scope.[188]

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182. Fabian Teichmann, et al., *Compliance as a Form of Defense against Corporate Criminal Liability*, 1 J. ECON. CRIM. 100004, 2 (2023); *See also* Stuart Bazley, *Risk-Based Financial Regulation and Compliance Officer Liability*, FINANCIAL COMPLIANCE: ISSUES, CONCERNS AND FUTURE DIRECTIONS 137 (Maria Krambia-Kapardis ed., 2019).

183. *See, e.g.*, John K. Stranlund, *Risk Aversion and Compliance in Markets for Pollution Control*, 88 J. ENV'T MGMT. 203, 206-08 (2008).

184. *See* Marcel Hofeditz et al., *"Want to" Versus "Have to": Intrinsic and Extrinsic Motivators as Predictors of Compliance Behavior Intention*, 56 HUM. RES. MGMT. 25, 26–28 (2017); Nadja Dwenger et al., *Extrinsic and Intrinsic Motivations for Tax Compliance: Evidence from a Field Experiment in Germany*, 8 AM. ECON. J.: ECON. POL'Y 203 (2016); Diana Onu et al., *The Dynamics of Internalised and Extrinsic Motivation in the Ethical Decision-Making of Small Business Owners*, 68 APPLIED PSYCH. 177, 195–96 (2019).

185. This is because of the crowding-in effect explained earlier in the paper. *See supra* Part III.A.4. For a different perspective on a similar prediction, see *Luca Enriques et al., How the EU Sustainability Due Diligence Directive Could Reshape Corporate America*, 78 STAN. L. REV. (forthcoming 2026), arguing that the prospect of *Caremark* litigation could push U.S. companies to adopt genuine compliance with the CSDDD.

186. *See* Rossi, *supra* note 177; Mark L. Frigo & Richard J. Anderson, *A Strategic Framework for Governance, Risk, and Compliance*, STRATEGIC FIN., Feb. 2009, at 20, 22, 61.

187. Dempere et al., *supra* note 177, at 15.

188. *See* Morgane Thorens et al., *Advocating for the EU Corporate Sustainability Due Diligence Directive Against the Odds: Strategies and Legitimation*, 63 J. OF COMMON MKT. STUD. 606, 619 (2025).

Compliance becomes a strategic tool to increase their attractiveness and competitiveness in the EU and beyond.[189]

2. **Intrinsic Motivation**: Unlike directly affected companies, indirectly affected entities are intrinsically motivated to invest in compliance.[190] Their investments stem from a proactive desire to gain a competitive edge rather than simply mitigating risks.[191] Compliance is seen as a pathway to market expansion and differentiation.[192]
3. **Long-Term Value Creation**: Strategic compliance emphasizes long-term value creation through enhanced sustainability, improved brand reputation, and strengthened relationships with key stakeholders. These companies are likely to adopt more comprehensive compliance programs, integrating sustainability and human rights considerations as core elements of their business strategy.[193]

C. *Contrasting Approaches: Conditions, Implications, and Outcomes*

The contrasting approaches of directly and indirectly effected US companies illustrate the complex dynamics of regulatory compliance. Directly affected companies prioritize tactical compliance, driven by extrinsic motivations and focused on minimizing liability.[194] Conversely, indirectly affected companies embrace strategic compliance because they are motivated both by intrinsic factors and the goal of leveraging compliance as a competitive advantage.[195] This dichotomy underscores the importance of understanding the regulatory context and motivations shaping corporate behavior. While tactical compliance fulfils immediate legal requirements, strategic compliance aligns with broader business objectives, fostering innovation, resilience, and long-term growth.[196]

But how likely are American companies and other non-EU businesses to widely embrace this strategic compliance response? The first point has to do with the degree to which in-scope companies will require substantive compliance from out-of-scope suppliers. In this respect, the motivation for EU companies to both fully carry out the Directive's meaningful due diligence obligation and adequately compensate foreign suppliers for heightened sustainability performance depends on

189. *See* Rossi, *supra* note 177; Dempere et al., *supra* note 177, at 15.

190. *See* Vibeke Lehmann Nielsen & Christine Parker, *Mixed Motives: Economic, Social, and Normative Motivations in Business Compliance*, 34 L. & POL'Y 428, 433–34 (2012).

191. *See* Story & Neves, *supra* note 177, at 111–12; Hofeditz et al., *supra* note 184, at 39.

192. *See* Rossi, *supra* note 177, at 828–29.

193. *See* Gunningham, *supra* note 178 at 122–25.

194. *See* Hofeditz et al., *supra* note 184; Dwenger et al., *supra* note 183; Onu et al., *supra* note 183.

195. *See* Nielsen and Parker, *supra* note 189; Story and Neves, *supra* note 177, at 111–13; Rossi, *supra* note 177.

196. *See* Story & Neves, *supra* note 177, at 120.

two things. The first is the strength of the EU's enforcement regime.[197] In the absence of credible or sufficient enforcement, the second driver for in-scope companies' compliance is found in potential reputational gains.[198] Here, the issues are the same as in the case of voluntary sustainability value chain management strategies.[199] For one, the reputational effect is mainly relevant for consumer-facing companies.[200] Moreover, companies may just as well obtain the benefits of a sustainable reputation by requesting certifications and assurances from their suppliers, without investing in resources to ensure that their sustainability claims are reliable.[201] In other words, companies could engage in greenwashing, a practice that is already widespread in the EU.[202] In this case, out-of-scope companies may choose to remain tied to EU companies and the EU market but could fail to see the benefit of making substantial changes to their business operations.[203]

Even assuming credible enforcement from European public authorities, uncertainties remain. For one, the introduction of a binding sustainability due diligence obligation will affect bargaining power and contract negotiation strategies between in-scope and out-of-scope companies.[204] In-scope buyers will therefore require heightened compliance from their suppliers and increase their investments in monitoring.[205] Assuming that sustainable performance is costly, suppliers will only be able to meet the buyer's demands if the buyer itself internalizes the cost and adequately compensates for it.[206] That may only work in cases where the in-scope buyer has a willingness to pay the increased price for substantive compliance and is equally able to reward an American supplier with a higher price.[207] If the requirement of higher compliance quality is not

197. Silvia Ciacchi & Michael Faure, *From Corporate Social Responsibility to Supply Chain Regulation in Europe: Economic Perspectives*, 19 LAW AND ECONOMICS OF CORPORATE GOVERNANCE: SHAREHOLDERS, STAKEHOLDERS, AND BEYOND 121, 143–144 (Klaus Mathis & Avishalom Tor eds., 2025).

198. Dempere et al., *supra* note 177, at 15.

199. *See* Ciacchi and Faure, *supra* note 196 at 132–34.

200. Tim Bartley & Curtis Child, *Shaming the Corporation: The Social Production of Targets and the Anti-Sweatshop Movement*, 79 AM. SOCIO. REV. 653, 660 (2014).

201. *See* Stefano Ponte, *Green Capital Accumulation: Business and Sustainability Management in a World of Global Value Chains*, 25 NEW POL. ECON. 72, 78 (2020).

202. de Freitas Netto et al., *supra* note 156, at 2.

203. *Cf.* Enriques et al., *supra* note 185, at 40 (warning that the Directive risks generating "cosmetic compliance"); Julia Sinnig & Dirk A. Zetzsche, *The EU's Corporate Sustainability Due Diligence Directive: From Disclosure to Mandatory Prevention of Adverse Sustainability Impacts in Supply Chains*, 16 EUR. J. RISK REGUL. 628, 636 (2025) (discussing how the EU nexus criteria could lead to regulatory arbitrage by third-country firms and groups).

204. *See* Fabrizio Cafaggi, et al., *Compliance and Due Diligence in Global Value Chains: The Emergence of a EU Sustainability Framework in Global Regulation*, DUE DILIGENCE, SUSTAINABILITY AND VALUE CHAIN GOVERNANCE 1 (2025).

205. Dempere et al., *supra* note 177, at 11.

206. *See id*. at 10–14.

207. *See generally* Di Xiao, et al., *Stimulating Sustainability Investment Level of Suppliers with Strategic Commitment to Price and Cost Sharing in Supply Chain*, 252 J. CLEANER PROD. 119732

communicated by the American supplier, information asymmetry can emerge, resulting in Akerlof's well-known "Market for Lemons," and thus market failure.[208] The attractiveness of the EU market is ultimately the cornerstone of the its extraterritorial sustainability policy.[209] Should indirectly affected suppliers find it too burdensome to engage with in-scope companies because of heightened costs and insufficient compensation, they may turn to non-European alternatives and thus choose the exit option.

CONCLUSION

The Corporate Sustainability Due Diligence Directive represents a significant evolution in global regulatory standards, placing heightened expectations on corporate actors to prioritize sustainability and ethical business practices. For US companies, the implications of the Directive are profound, particularly in the light of the deepening and increasingly complex nature of US-EU trade relations. This interconnection underscores the urgent need for proactive adaptation and strategic foresight.

More than just a regulatory requirement, the CSDDD signals the broader evolution of corporate accountability in the 21st century. Its emphasis on stakeholder engagement and long-term sustainability highlights a growing acknowledgment of the pivotal role businesses play in addressing the world's most pressing challenges. US companies that view compliance not simply as a legal obligation but as a catalyst for growth, innovation, and leadership in sustainability will be better positioned to thrive in this new era of corporate governance.

Faced with the CSDDD, American businesses face a range of choices. They can continue lobbying to influence the regulatory framework, sever business ties with EU entities and their global value chains, or align with the Directive's requirements. The EU's extraterritorial sustainability policy leverages the attractiveness of its internal market as a mechanism to encourage global compliance. While the full impact of this "Brussels effect" remains to be seen—particularly regarding whether non-EU companies will move to alternative markets—the CSDDD will undeniably reshape global trade dynamics in profound ways.

(2020) (explaining how combining wholesale price commitment with cost-sharing can incentivize suppliers to invest in sustainability and subsequently improve overall supply chain performance).

208. George A. Akerlof's *"Market for Lemons": Quality Uncertainty and the Market Mechanism*, 84 Q. J. ECON. 488 (1970). Akerlof's article describes a form of market failure that arises from information asymmetries between buyers and sellers. When buyers cannot reliably distinguish between high- and low-quality products, they are unwilling to pay a premium for higher quality, instead gravitating toward lower-cost (and lower cost) options because price is the only observable signal. Over time, this dynamic allows inferior goods to drive higher-quality goods out of the market.

209. *See generally* Joanne Scott, *Extraterritoriality and Territorial Extension in EU Law*, 62 AM. J. COMPAR. L. 87 (2014) (explaining how the EU extends the reach of its laws beyond its borders by conditioning access to its market upon others' compliance with the EU's standards).

The Directive's dual applicability—imposing direct obligations on companies with significant EU operations and indirect duties through cascading contractual obligations—underscores the need for a comprehensive, integrated compliance strategy. For directly impacted companies, the risk of civil and administrative liability necessitates robust systems to embed due diligence across their operations and supply chains. For those affected indirectly, compliance presents an opportunity to differentiate commercially by aligning with EU sustainability standards, facilitating access to European markets, and enhancing business relationships.

US companies must decide between two distinct compliance strategies: tactical, risk-averse approaches that merely meet the minimum legal requirements to retain EU market access, and strategic, proactive approaches that drive long-term business growth. The former, often motivated by extrinsic factors such as avoiding penalties or reputational damage, may ensure short-term compliance but risks creating a fragmented, superficial engagement with sustainability. This leaves companies vulnerable to future regulatory developments and evolving market expectations.

In contrast, a strategic approach—driven by intrinsic motivations such as corporate values, long-term objectives, and a commitment to sustainability—offers more sustainable outcomes. By embedding sustainability into core operations and strategic frameworks, US companies not only meet the Directive's demands but also gain a competitive edge. This includes enhanced market positioning, improved stakeholder trust, and the opportunity for innovation and operational efficiencies. Companies that adopt this approach will be better equipped to anticipate and respond to future regulatory changes, positioning themselves as leaders in responsible business practices.

The CSDDD is not merely a regulatory mandate; it serves as a blueprint for the future of global trade and corporate governance. Its far-reaching influence signals the move toward harmonized global standards, transcending borders and setting the stage for similar regulations in other jurisdictions. By aligning with the CSDDD's principles, US companies can stay ahead of the curve, building resilience against future regulatory frameworks and differentiating themselves as responsible, forward-thinking businesses.

In essence, the CSDDD offers US companies the opportunity to redefine their role in the global economy. By embracing its principles and integrating sustainability into their operations, companies can secure long-term growth, mitigate risks, and shape their narrative as leaders in ethical business practices. The decision to adopt a tactical or strategic approach to compliance will ultimately determine not just how companies navigate the challenges of the CSDDD but also how they position themselves in an increasingly interconnected and sustainability-conscious global marketplace.

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